CHAPTER

2

Group Reporting I

Concepts and Context



LEARNING OBJECTIVES

After reading this chapter, you should be able to:

LO1 Understand the rationale for group reporting and the complementarity of reporting by legal and economic entities, and business units;

LO2 Understand the economic incentives for the provision of consolidated financial information;

LO3 Understand the economic context of group reporting — mergers and acquisitions as risk management strategy and the impact on financial reporting;

LO4 Understand the concept of “control” and the determination of the parent-subsidiary relationship;

LO5 Understand the concept of “significant influence” and the notion of “associate”;

LO6 Understand the concept of a “business combination” and the scope of IFRS 3;

LO7 Know the theories relating to consolidation; and

LO8 Understand the effects of parent versus entity theories of consolidation.

INTRODUCTION

A primary issue that underpins financial reporting is the identification of the reporting entity. Users of financial information may need more than one set of financial statements to make decisions about the viability of their investments. Financial information may be reported at three levels:

1. Separate financial statements for the legal entity;
2. Aggregated reporting for the economic entity; or
3. Disaggregated reporting for business units within a legal or economic entity.

Corporate regulation may require separate financial statements to be prepared for each legal entity. The separate financial statements provide information for legal and taxation purposes as well as a basis to determine the financial solvency of individual entities. If taxation is assessed on a legal entity basis, the audited financial statements of each entity are also used as a basis to assess corporate taxation. Dividends are also declared out of the profits and retained earnings of a legal entity; hence, the financial statements are used as a basis to determine the sufficiency of reserves for the declaration of dividends. Furthermore, the financial solvency and health of companies as stand-alone entities are assessed from separate financial statements. With aggregated reporting, the weaknesses of individual companies are masked by the strengths of other group companies.

A legal entity may exercise control over other legal entities through share ownership, or contractual or statutory arrangements. Applying the principle of *substance over form*, the notion of a reporting entity extends beyond the legal entity to that of an economic group of related companies. If the legal entity's separate financial statements are the only source of information, users will not be able to properly assess the extent of the size, profitability, cash flows and risks of the larger economic entity. For example, assume that AA Corporation has controlling interests over 20 subsidiaries and provides separate financial statements for all of them. Investors of AA Corporation may have detailed information on individual companies but may not be able to obtain a clear picture of the group's performance as a whole, analogous to a case of not seeing the forest for the trees.

The power to control other entities creates an effective relationship between the controlling entity and the controlled entities. An entity has incentives to extend its economic boundaries over other entities. These incentives include increasing market share, reaping economies of scale and scope among companies, reducing risks through the diversification of operations, tapping on future growth opportunities not available through organic growth and capitalizing on the slack debt or operating capacity available in other companies. Synergies are often created through an internal market place or through generating economies of scale and scope through vertical or horizontal integration. A group of companies may be able to deal better with economic risks than an individual entity. The risks arise at three levels: macro-economic risks, for example, changes in government policies and political instability; industry risks, for example, competition and technological risks; and firm-specific or idiosyncratic risks, for example, reliance of a company on specific human capital or intellectual property. Diversification through mergers and acquisitions may lead to risk mitigation within the economic entity. However, diversification through mergers and acquisitions is a double-edged sword. Studies have also shown that many corporate acquisitions and diversification programs are sub-optimal and value-destroying.

Corporate acquisitions may be motivated by managers' self-interest to invest in size rather than value (Jensen, 1986;[1] Shleifer and Vishny, 1990[2]). Under the managerial entrenchment hypothesis, managers have incentives to opportunistically expand their span of control as they enjoy greater perks, power, and job security in larger companies (Example, Fung, Jo and Tsai, 2009[3]). Self-interested managers may pursue unrelated diversification to reduce risks to themselves, even when the diversification is value-destroying to shareholders (Amihud and Lev, 1981[4]). There are costs and risks that arise from acquisition strategies, particularly in relation to unrelated diversification. The complexity of the combined entity increases in unrelated diversification and so does the likelihood of agency problems. As controlled entities have greater firm-specific knowledge about their operations, the controlling entity is exposed to agency problems arising from information asymmetry between parent and

subsidiaries. Integrating another entity into a larger group also entails direct costs such as restructuring costs, and indirect costs such as the loss of motivation of affected human capital. Hence, monitoring and information costs increase with the size and complexity of the economic entity. Synergistic benefits from acquisition strategies are potentially reduced by direct and indirect costs arising from these strategies.

Therefore, investors need to assess if an acquisition decision is value maximizing *ex-post*. They should have information to determine if the individual entities are better off as stand-alone or as combined entities. Hence, investors need information to assess the new risks of the enlarged entity and the effectiveness of the acquisition strategy. As discussed above, companies undertake mergers and acquisitions for different reasons, some of which relate to the promotion of managerial self-interest. Market participants need to assess the impact of mergers and acquisitions on risks, value and future cash flows. Through the process of consolidation, total liabilities, assets, profit, cash flows, and post-acquisition retained earnings are aggregated for the economic entity so that investors can assess the risk-return profile of the combined entity.

Conversely, if only aggregated information is provided about the larger economic entity, there will be loss of information about the performance and risk-return profile of individual units within the economic entity. Therefore, users of financial information will also require disaggregated information on business units that share similar risk and return characteristics within the larger economic entity. One source of disaggregated information is the separate legal entity's financial statements. Another source of disaggregated information is *operating segment information*. Business units within a larger economic entity may be divided along operational or geographical lines. The process of reporting the financial performance and position of each operating segment is called *segment reporting*. Since aggregation masks the trade-offs among business units, segment reporting allows users to determine the risk-return profile of each operating segment within an economic entity and to identify particular strengths and weaknesses relating to specific operations or geographical concentrations.

Hence, to meet investor information needs, both aggregated information in the form of consolidated financial statements and disaggregated information in the form of segment reporting or provision of individual financial statements are necessary. The focus of this chapter is the provision of aggregated information. The process of providing aggregated information for an economic entity is called *consolidation*. A controlling entity is called the *parent company*. Controlled entities are called *subsidiaries*. An economic entity comprising the parent company and the subsidiaries is called a *group*. *Consolidation* is the process of preparing and presenting the financial statements of the parent company and the subsidiaries as if they are one economic entity. The financial statements are called group or consolidated financial statements. Consolidated statements are artificial "creations" as there is no such thing as books of accounts for the economic entity. Consolidation involves reconstructing combined financial statements from the separate financial statements of individual entities through a series of consolidation journal entries and use of consolidation worksheets that lie outside the formal books of accounts of the legal entity. As such, the consolidation process has to be repeated every year for as long as the group exists.

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Although consolidated financial statements entail additional preparation costs for the controlling entity, research has shown that companies have economic incentives to provide consolidated financial statements voluntarily.

ECONOMIC INCENTIVES FOR THE PREPARATION OF CONSOLIDATED INFORMATION

We can analyze the incentives to provide consolidated financial statements from three perspectives using the framework from Holthausen (1990).[5]

Information Perspective

If consolidated financial statements convey more superior information about future cash flows than a company's separate financial statements, an economic entity has incentives to provide the information to external constituents (Holthausen, 1990). Under the information perspective, managers with a comparative advantage on information about

their firms are compensated for their ability to provide information on the future cash flows of these firms (Holthausen and Leftwich, 1983).[6]

However, there is no consensus that consolidated financial statements are more informative than separate financial statements. One view is that consolidated financial statements actually hide, rather than reveal, proprietary information. This view proposes that the greater the loss of competitive advantage, the more likely is the provision of consolidated financial statements in place of individual financial statements (Mian and Smith, 1990).[7] Mian and Smith propose that unconsolidated financial statements are generally more informative than consolidated financial statements. They explain that investors can try to replicate the consolidation process and achieve "homemade" consolidated financial statements from individual financial statements but the reverse is not possible. Their observation is true if intragroup transactions are either reported or are small in effect. The ability to replicate "homemade" consolidated financial statements from individual statements gives investors the benefit of both aggregated and disaggregated information. However, if only consolidated financial statements are provided, the investor is not able to undo the effects of consolidation to arrive at the individual financial statements. Hence, overall, there is a loss of information from providing only a combined set of financial statements. Mian and Smith examine voluntary consolidation decisions in the period prior to the issuance of the Statement of Financial Accounting Standard (SFAS) 94,[8] which requires mandatory consolidated financial statements. They find that a firm is more likely to choose consolidated reporting when (1) there are greater operating, financial and informational interdependencies between parent and subsidiaries, (2) there are foreign rather than domestic subsidiaries, (3) the parent provides a direct guarantee of the subsidiary's debt rather than an indirect guarantee, and (4) the parent is in the financial services industry. They infer that interdependencies and the close integration between parent and subsidiary (e.g. through giving a direct rather than an indirect guarantee) indicate a strong internal marketplace (as proposed by Klein, Crawford and Alchian, 1978),[9] and these companies may be less inclined to be more transparent about their unique firm-specific activities from which they may enjoy quasi-rents. Hence, aggregation is the preferred mode of reporting for these firms.

Holthausen (1990) provides an alternative (although not mutually exclusive) explanation to the view that consolidation is used to conceal proprietary information of a group of firms with high interdependencies. He proposes that the greater the interdependencies among group companies, the more informative is the combined earnings about future cash flows of the combined entity than the earnings of the separate entity's financial statements. Can the market replicate the consolidation process? The greater the operational and financial interdependencies among the group companies, the higher is the likelihood of intragroup transactions, and the more difficult it is for external users to replicate the consolidation process. Hence, managers will have incentives to voluntarily provide the consolidated financial statements that will enable the investors to better predict the future cash flows of the group.

Efficient Contracting

Do consolidated financial statements maximize wealth for firms through reducing agency costs? Does the information enhance incentives for managers to perform better? Whittred (1987)[10] suggests that consolidated information improves wealth for firms as a whole by reducing the information asymmetry between lenders and borrowers. Lenders fear that borrowers will transfer assets to related companies leaving nothing but a "shell" company for lenders to claim from. As borrowers are protected by limited liability, they may expropriate a considerably larger sum from lenders than what they stand to lose in the form of their residual interests. Hence, lenders require cross-guarantees issued by parent companies to "undo" the "negative" effects that limited liability has on creditors. Whittred suggests that a set of consolidated financial statements performs the same function as a "cross-guarantee" issued by a parent company. Such a state of financial statements effectively "undoes" the effect of separately incorporated companies within the group. For example, if Subsidiary A is not able to pay its debts as a legal entity, its shortfall is compensated by the net assets of other related entities within the group. This is also known as the "co-insurance" effect (Seth, 1990),[11] which makes available excess debt capacity to other group companies that would otherwise have no access to the debt. The "co-insurance" effect potentially reduces the cost of debt for individual companies. Effectively, a set of consolidated financial statements provides an implicit assurance to lenders that the debt of a subsidiary is financially backed by the assets of the combined entity.

Opportunism

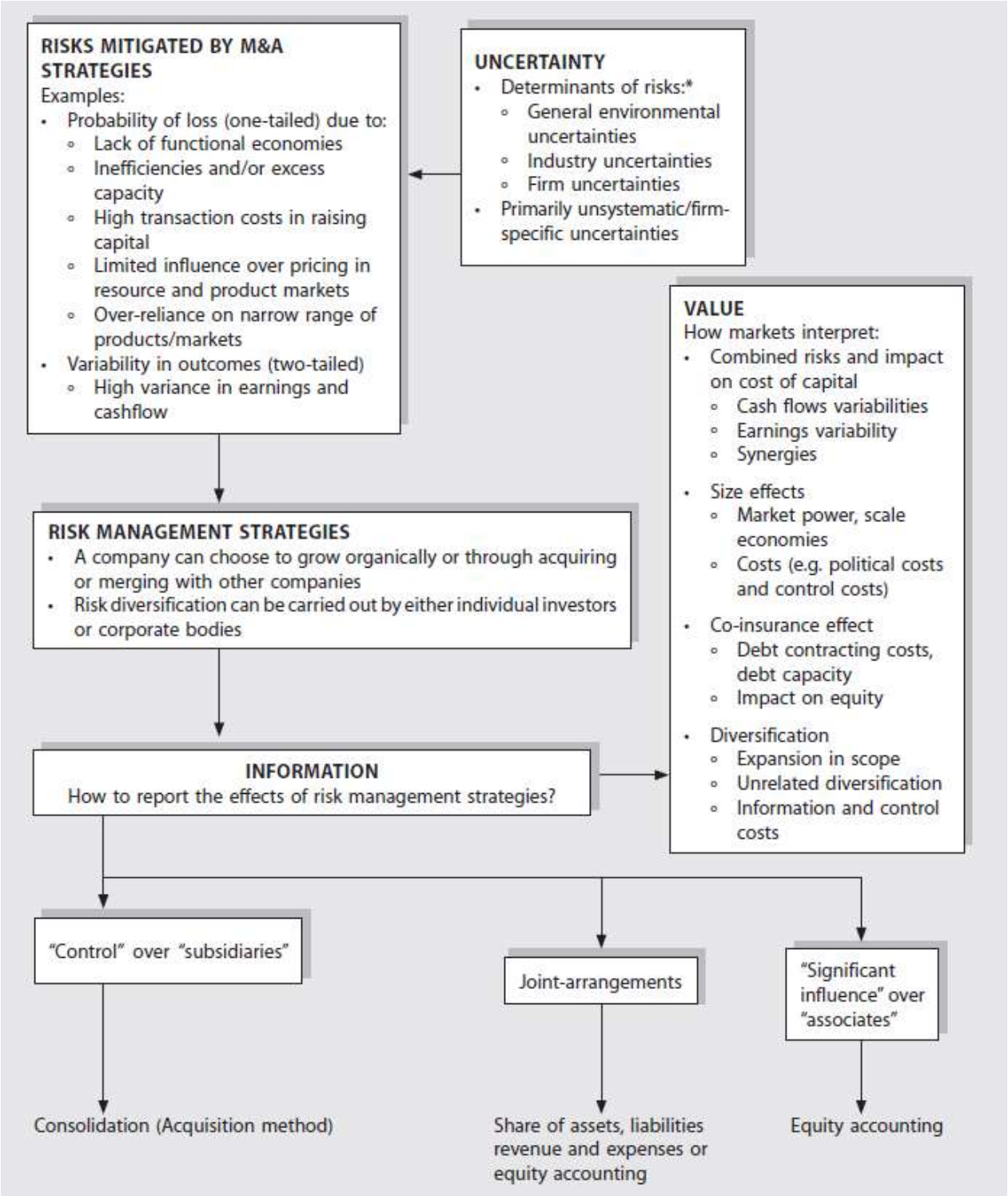
Do consolidated financial statements lead to wealth transfers to managers at the expense of other contracting parties? The answer is "yes," if the motive for undertaking the acquisition in the first place is motivated by managerial self-interest. The issue of managerial entrenchment as discussed above suggests that managers enjoy higher compensation, perks, and power through managing a larger group of companies. If managerial compensation is pegged to reported profit or other financial statement numbers, the sheer increase in size will result in higher payout for managers, notwithstanding their managerial competence. The larger asset base as reported in consolidated financial statements also enhances the reputation of managers in the labor market and reduces managerial risks. Investment in size and growth may be sub-optimal if these are not accompanied by an increase in value for shareholders. Shleifer and Vishny (1990)[12] suggest that managers are more likely to over-invest in companies that are specific and complementary to the managers' skills. Such an investment strategy is motivated by managers' risk aversion, but is not necessarily value-enhancing to external investors.

The presentation of combined positions and financial performance potentially gives rise to information asymmetry between managers and external stakeholders by masking the financial problems of individual companies within the group. Without segment information or other forms of disaggregated information, detailed evaluation of the effectiveness of corporate acquisition strategies is not possible. Hence, both aggregated (consolidated) and disaggregated (segment) information are required.

ECONOMIC MOTIVES FOR ENTERING INTO INTERCORPORATE ARRANGEMENTS

Mergers and acquisitions are entered into by companies as an alternative strategy to organic growth in order to deal with certain risks such as the lack of economies of scale and scope, production inefficiencies, low market share, limited bargaining power in resource and product markets, limited debt capacity, and high dependence on a narrow range of products and markets. Acquiring companies with negatively correlated earnings or cash flows to one's own also minimizes the likelihood of wide swings in combined earnings and cash flows (refer to Figure 2.1.) However, the use of mergers and acquisitions as a risk management strategy may be sub-optimal if individual investors are able to diversify risks in a more efficient manner than companies. Hence, finance theory postulates that the market will not reward a firm's diversification efforts by paying a higher price for its shares if investors themselves can diversify their personal portfolios to replicate the firm's diversification strategies. So, why do firms still engage in mergers and acquisitions? There may be a number of answers to this question. First, individuals may not be able to diversify as efficiently as a firm because of indivisibility of assets and high transaction costs. Acquiring firms have the advantage of economies of scale to invest in other firms. Second, a firm engaging in mergers and acquisitions has stakeholders other than the shareholders (investors), for example, the managers and the employees, who are not able to diversify their risks as well as the shareholders.[13] The managers' human capital is tied to the risks of the firm. To manage their risks, risk-averse managers may under-invest in risky projects with positive net present value.[14] Hence, page 35 corporate diversification of risks may mitigate the problem of under-investment by risk-averse managers.

FIGURE 2.1 Economic context of group reporting



*** Miller (1992), as cited in Chapter 1.**

Therefore, consolidation or group reporting is brought about by strategic corporate decisions to extend corporate boundaries through mergers and acquisitions. These strategic decisions may be motivated by efficiency reasons (for example, when market participants are not able to replicate the diversification decision or when the acquiring and acquired companies are highly interdependent and are uniquely complementary) or for opportunistic reasons (for example, when acquisitions are motivated by managerial self-interest).

Broadly speaking, mergers and acquisitions can assume the following arrangements:

1. The acquirer gains "control" over the acquiree. In such an instance, the acquirer is described as the "parent" and the acquiree is deemed a "subsidiary" for accounting purposes. The acquisition method should be applied to consolidate the subsidiary. The term "consolidation" is used with reference to this particular scenario.
2. Reciprocal investments are held by each of the two firms. In this situation, there is neither an acquirer nor an acquiree, as both are deemed to be equally dominant. It is a "marriage of equals." In this situation, the "uniting of interests" or "pooling of interests" is conceptually the right method to use. However, accounting standards have deemed it highly unlikely that there is no one dominant party in a business combination. The option to apply "pooling of interests" allows companies to avoid charging impairment write-downs to the income statement. (In "pooling of interests," no goodwill arises as there is no "acquirer," and hence no "acquisition" of a subsidiary.)
3. Two or more acquirers gain "joint control" over the acquiree. This is deemed a joint arrangement and accounting for share of assets, liabilities, revenues and expenses or the equity method may be used depending on the rights and obligations of each party to the joint arrangement.
4. The investor has "significant influence" (but not "control") over the operating and financial policies of the investee. The investor can participate in but not determine the outcome of the policy making process. In this situation, the investee is deemed an "associate" of the investor, and equity accounting must be applied to measure the investment in the group accounts.

Figure 2.1 summarizes the economic context and the issues relating to group reporting.

Accounting for Intercorporate Investments

From the introductory sections, we note that companies have economic incentives to change their economic boundaries through intercorporate investments.

Investment Strategies, Ownership Levels and the Impact on Financial Reporting

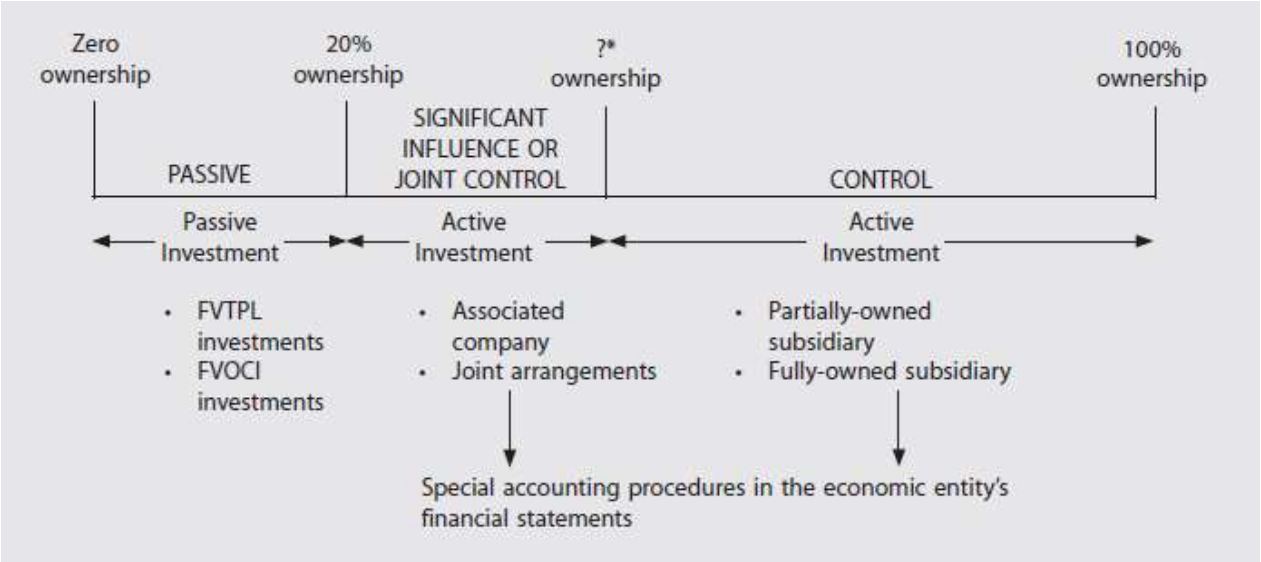
An investing firm could be a passive investor owning an insignificant ownership stake with no influence whatsoever over the investee's operations. The main purpose for undertaking the investment is often to invest funds in excess of its internal requirements to earn dividend income or make a capital gain. Alternatively, a firm could be an active investor with a significant ownership interest that enables it to exert significant influence or control over the investee's operations. The degree of operational and financial interdependencies between investee and investor may be such that dividend income does not reflect the true measure of earnings that the investor enjoys from the relationship. For example, a firm may acquire another firm in order to gain entry into a new market or to achieve synergistic benefits from complementary strengths within the same industry or to gain market dominance. The acquisition of WhatsApp by Facebook is a good example. In such a combination, the economic boundaries are extended such that the benefit to the investor is the stream of the investee's earnings rather than dividend income.

From a financial reporting perspective, it is important to classify these intercorporate investments to reflect the intention of the investment, the ownership level, and the extent of decision rights that the investor has over the investee's strategic policies. The International Financial Reporting Standard (IFRS® Standards) Conceptual Framework explains that an asset embodies a right that has the potential to produce economic benefits. Since the economic benefits vary in accordance with the different motives for investment holdings, the carrying amount of the asset would differ accordingly.

Figure 2.2 reflects the relationship between ownership levels and investment strategies. These percentage holdings, if any, are only default assumptions to impute the underlying "intention" for holding an investment. The

prevailing accounting standards emphasize principles rather than bright lines or quantitative thresholds.

FIGURE 2.2 Continuum of intercorporate ownership



*** Quantitative thresholds do not apply in IFRS 10 but ownership of more than 50% voting rights is often used as a rule of thumb measure in straightforward situations.**

The prevailing accounting standards are IFRS 10 *Consolidated Financial Statements*, revised IAS 27 *Separate Financial Statements,* IAS 28 *Investments in Associates and Joint Ventures* and IFRS 11 *Joint Arrangements*

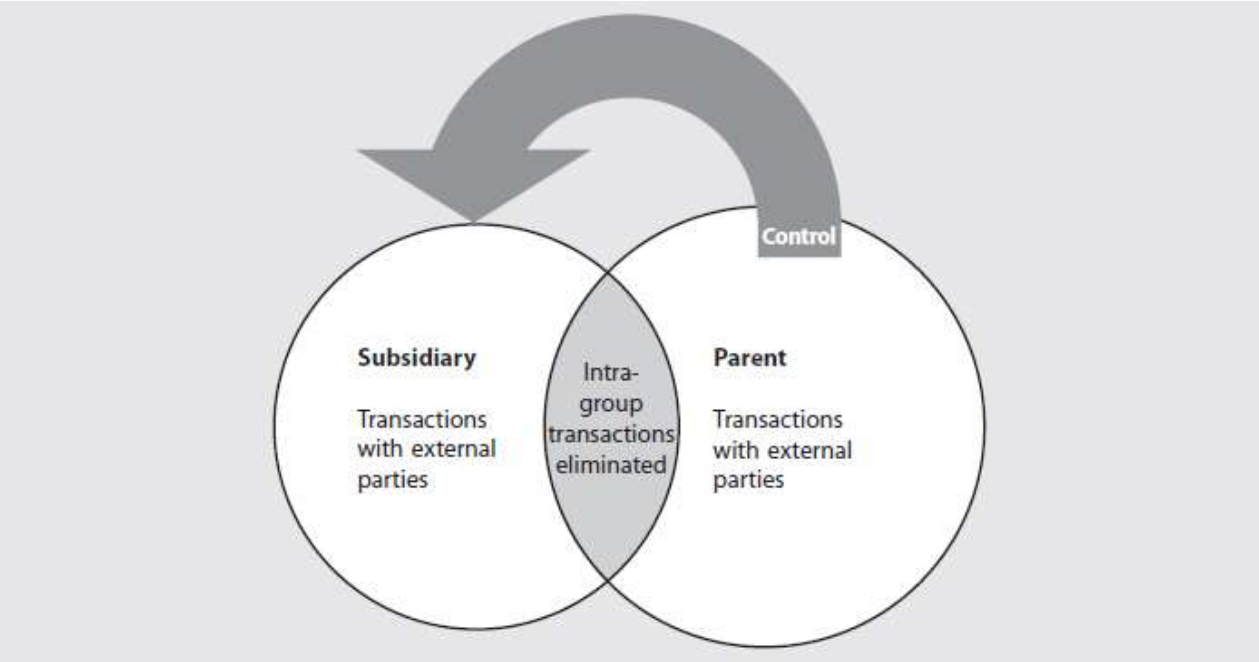
The previous consolidation standard IAS 27 *Consolidated and Separate Financial Statements* specifies the power to govern financial and operating policies and the benefits derived therein, or risk and rewards as indicators of control. In contrast, IFRS 10 sets principles and qualitative criteria to establish if the investor controls the investee, and hence if the investee should be consolidated. Control exists when the investor "is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee". Facts and circumstances relating to variable returns, ability and power need to be evaluated to determine if control exists.

Equity investments classified as fair value through profit or loss (FVTPL) or by election, fair value through other comprehensive income (FVOCI) are discussed in detail in Chapter 9. Chapters 3 to 7 explain how the economic entity should account for intercorporate investments in which the investor is able to either exert "control" or "significant influence" over the investee. The concepts of "control" and "significant influence" are discussed in the following sections. The concept of "joint control" is also explained through contrasting "joint control" with "significant influence".

THE CONCEPT OF CONTROL

Consolidation is the process of combining the assets, liabilities, earnings, and cash flows of a parent and its subsidiaries as if they were one economic entity. Since an economic, and not legal, perspective is adopted, transactions between companies within this economic entity and their resultant balances must be eliminated (see Figure 2.3).

FIGURE 2.3 Boundary of the economic entity determined by the control relationship



Economic Boundaries as Defined by IFRS 10

Before consolidation is carried out, it is important to determine whether a parent-subsidiary relationship exists. We need to consider the attributes of control in IFRS 10 *Consolidated Financial Statement*s.

An investor controls[15] an investee if and only if the investor has all of the following:

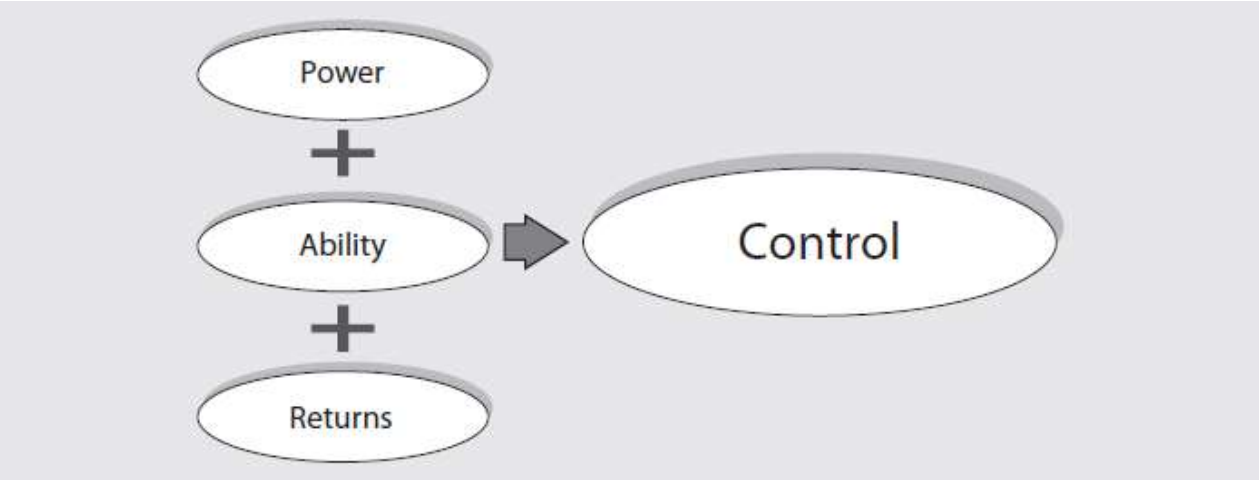
(a) power over the investee;

(b) exposure, or rights, to variable returns from its involvement with the investee, and

(c) the ability to use its power over the investee to affect the amount of the investor's returns.

Figure 2.4 shows the attributes of control.

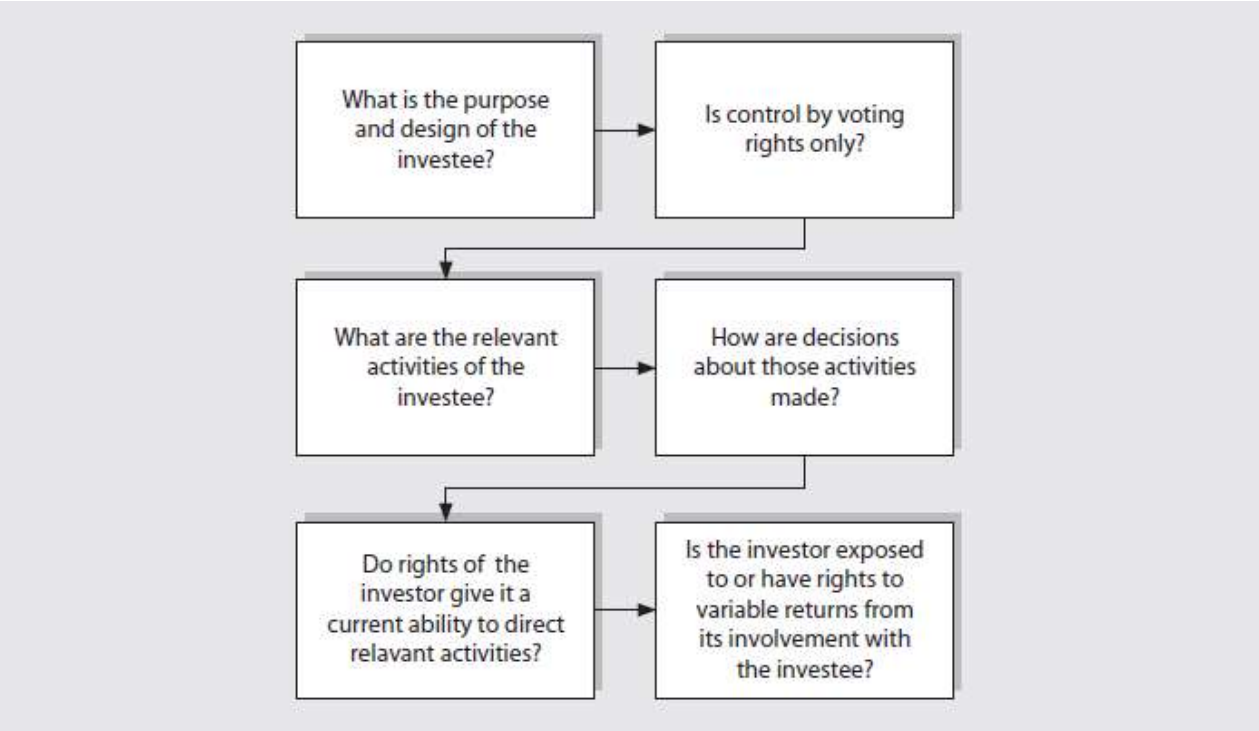
FIGURE 2.4 Attributes of control



PROCESS OF ASSESSING CONTROL

A step-by-step process to assess control under IFRS 10 is presented in Figure 2.5.

FIGURE 2.5 Process of determining control



The process of determining control considers all three attributes of control: Power, Ability and Returns.

In assessing control over an investee, the purpose and design of the investee should be considered to determine how decisions about relevant activities are made. If decisions are made through exercise of voting rights to appoint key management personnel that makes decisions about relevant activities, voting rights is the primary source of power to determine control. In some cases, voting rights may not be the dominant factor that empowers decision-making. For example, if decisions are made through exercise of rights arising from contracts, those contracts would be a source of power. In other cases, even informal relationships may be an overriding source of power.

Hence, the process considers how decision-making over the relevant activities is empowered and which party has the power to make those decisions. It is important to identify the "relevant activities" of the investee. These activities are those that have the most significant effect on the returns of the investee. The party that has the power and ability to make decisions about these activities, and therefore are able to affect the returns of the investee that consequentially flow to the party, has control over the investee.

The relevant activities may be one or more from the normal range of activities that an entity would engage in. These may include operating and financing activities such as selling and purchasing of goods and services, acquisition and disposal of assets, financial management, research and development and raising of capital among others. Examples of decisions over the relevant activities are operating and capital decisions of the investee and appointment and remuneration of key management personnel.

If more than one investor has decision-making rights over activities of the investee, it is necessary to determine which activity has a more significant effect on the returns of the investee. For example, if Investor A has the power and ability to decide on research and development activities of Company C and Investor B has the power and ability to decide on marketing activities of Company C, Investor A has control if research and development is deemed to have a greater effect on returns of Company C at that point in time. The arrangement does not characterize a joint arrangement where both investors are equally involved in the decision-making of the same relevant activities. IFRS 10 requires a dynamic assessment as the most relevant activities of an entity may change over time.

The process considers if the rights enables an investor to have a *current* ability to direct the most relevant activities of an investee. The investor must be practically able to make decisions on these activities without any restriction. Finally, the process evaluates if the investor is exposed to or have rights to variable returns from its involvement with the investee.

IFRS 10 requires the investor to consider all facts and circumstances to establish if control exists. There are no bright lines or prescriptive quantitative thresholds. Unlike the previous standard, IFRS 10 requires consideration of all available evidence, including fact patterns to determine if control exists. An example of a fact pattern is the past voting pattern in general meetings. Another is the dispersion and number of investors to determine if relative voting rights are concentrated in one or more investors. The spirit of IFRS 10 is intended to capture the primary essence of control, which previously was simplistically depicted through quantitative thresholds. The three variables, Power, Ability and Returns are discussed in greater depth below.

ATTRIBUTES OF CONTROL

Power

Power arises from many sources. These sources include voting rights, potential voting rights, control over the investee's key management, control over another entity that directs relevant activities, contractual arrangements, statutory provisions, and rights to direct investee to enter into or veto transactions and special relationships. These sources of power are not mutually exclusive. However, each source of power should be considered in combination with other sources of power. In most cases, they reinforce each other. In other cases, they supplement other existing sources of power. IFRS 10 requires us to consider all sources of power in combination to arrive at a realistic assessment of who has power to control an entity.

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We discuss some of these sources of power below.

Voting rights The most common source of power is voting rights. In a straightforward case (i.e. no other competing sources of power), voting rights remain as the most important source of power. However, even if voting rights is the most persuasive source of power, we have to consider evidence beyond absolute voting rights. The principles in IFRS 10 require us to consider relative voting rights, dispersion of voting rights, the number and likelihood of parties that may act together to outvote the investor, potential voting rights and voting patterns, and other facts and circumstances.

ILLUSTRATION 2.1 Relative voting rights

In this scenario, three investors collectively have more than 50% ownership interests. The remaining 43% ownership interests are dispersed over 100 investors, each not owning more than 0.5% interest. The Annual General Meeting (AGM) is attended by investors A, B, and C and about a third of other investors.

	Voting rights	Voting at AGM	Relative voting rights
Investor A	40%	40%	57%
Investor B	10%	10%	14%
Investor C	7%	7%	10%
Other investors	43%	13%	19%
	100%	70%	100%

In this scenario, Investor A has relative interest that is greater than 50%. The number and dispersion of other investors are high, indicating that it is difficult to outvote Investor A in general meetings. The voting and fact pattern in this situation would support Investor A as being a *de facto* parent. The evidence of control arises from relative voting rights and not absolute voting rights in this situation.

Potential voting rights In addition to actual voting rights, control can arise from potential voting rights. Potential voting rights are rights to obtain voting rights of an investee from potential ordinary shares.[16] These shares include options, convertible instruments and forward or futures contracts that enable the holder to acquire actual voting rights. Paragraph B47 of IFRS 10 requires potential voting rights to be considered only if the rights are substantive. We will discuss substantive rights in the segment below.

When assessing this source of power, we should consider the purpose and design of these instruments. Why were they issued in the first place? Is the primary reason to vest power in the holder of the potential ordinary shares? It is necessary to consider the terms and conditions attached to the potential ordinary shares, the motives for the issue and the intent (if any) to vest control in the holder of the potential ordinary shares.

ILLUSTRATION 2.2 Potential voting rights

In this scenario, Investor A, the founding investor, invited Investor B and Investor C to purchase shares in Entity X. Investor B is a strategic investor who has knowledge of Entity X's business. Investor A is a financial investor. Investor C is a related party of Investor A. Investor B was issued options that would allow B to be issued with 40,000 ordinary shares.

	Voting rights	Percentage ownership	Potential voting rights (if exercised)	Combination	Percentage ownership
Investor A	30,000	67%	–	30,000	35%
Investor B	10,000	22%	40,000	50,000	59%
Investor C	5,000	11%	–	5,000	6%
	45,000	100%	40,000	85,000	100%

Consider the following variations:

(a) The options are exercisable at current date.

In this scenario, Investor B has control with 59% ownership, if the options are exercised.

(b) The options are exercisable in Year 3.

In this scenario, Investor A has control as the options are not currently exercisable and the intent is for Investor B to continue to "grow" the business of Entity X.

In the discussion below under "Ability," we consider how the state of the options, that is, whether the options are profitable or not, affect control.

Power over key management personnel As discussed earlier, control arises when an entity is able to make decisions on the activities that most significantly impact returns. Decisions on these activities are made by key management personnel. The entity that is able to appoint, remove and remunerate these personnel effectively has the power over these personnel. IAS 24 *Related Parties* defines key management personnel as those "persons having authority and responsibility for planning, directing, and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity." IAS 24 cautions that key management personnel are not necessarily appointed directors or managers of an entity but they may include "shadow directors" or people who control key management personnel of that entity.

Control over another entity that directs relevant activities Control may be direct or indirect. Power may arise from voting rights held by an intermediate subsidiary. In other situations, power may arise from management contracts and other arrangements. For example, Investor A has control over Entity X. Even though Entity X has only 20% interest in Entity Y, it is able to direct the relevant activities of Entity Y because Entity Y is dependent on Entity X for its technical know-how. Through Entity X, Investor A has control of Entity Y. Direct and indirect control is discussed in a subsequent section of this chapter.

Statutory and contractual provisions, rights to veto or enter into transactions Power may also arise from statute, contracts, or arrangements that give rise to rights to veto or enter into transactions. As discussed below, we explain that the power must give rise to "substantive rights" and not "protective rights." For example, if a franchising contract allows the franchisor to intervene to protect the franchise brand name, the power is protective and is not a sufficient basis to give rise to power to direct the most relevant activities of the entity.

Hence, these other sources of power must give rise to pro-active rights to direct most relevant activities and not applied only to isolated or rare situations.

Special relationships IFRS 10's holistic approach toward assessing control requires considerations of qualitative sources of power. In what is termed as "special relationships," these sources of power may arise from interpersonal or operational links between the investor and the investee. Indications may exist to suggest that an investor is more than a passive investor in another entity. For example, special relationships may arise from the following situations:

- The key management personnel of the investee are current or previous employees of the investor;

- The investee's operations are dependent on the investor (for example, provision of critical services or specialized knowledge);
- A significant portion of the investee's activities are conducted on behalf of or may significantly involve the investor; or
- The investor's exposure or rights to returns is proportionately higher than its ownership interests in the investee.

These indicators are subjective and are often difficult to establish. However, the spirit of IFRS 10 requires consideration of all sources of power including interpersonal and operational relationships between an investor and the investee.

Ability

Having power alone is not a sufficient basis to determine if control exists if the investor is not able to use the power to affect the investor's returns from its involvement with the investee. In the framework of control in IFRS 10, ability is made an explicit attribute in assessing control and is the link between power and returns. In past standards, ability is implied when power exists. In IFRS 10, an investor must demonstrate the ability to use the power to affect the returns to the investor from its involvement with the investee. In order to have power, and the ability to use that power, the rights that the investor (and others) has (have) must be substantive in nature.

Substantive rights An investor must have substantive rights, that is, the practical ability to exercise the rights that it is empowered with. The existence of substantive rights is subjective but it requires consideration of whether there are barriers that prevent the use of the rights. Examples of barriers include financial barriers, operational barriers, or legal and regulatory barriers.

An example of a financial barrier is the state of an option that an investor holds. We look again at the previous illustration (Illustration 2.2).

Assuming that the options are immediately exercisable, consider the following variations:

(a) The options are profitable (in the money).

In this scenario, Investor B has control with 59% ownership, as there is no financial barrier to Investor B to exercise the options.

(b) The options are clearly not profitable (deeply out of the money).

In this scenario, Investor A has control as the options are clearly not profitable, and there is a financial barrier to Investor B in the form of a financial disincentive to exercise the options.

(c) The options are out of the money but not deeply so.

This is an area of subjective evaluation and it is not clear if there is a sufficient barrier to prevent the exercise of the options. Other evidence may be required to assess if control exists.

We must also consider the effectiveness of contractual agreements.

For example, Investor A, a foreign investor, enters into an agreement with Investor B, a local investor that B will hold controlling shares in Entity X, on behalf of A. The local laws require a local investor to be the legal owner of the shares.

In this situation, Investor A must consider if the agreement with Investor B is a source of power that enables A to be able to make decisions about the relevant activities of Entity X. If the agreement is not effective and A faces substantial barriers in making decisions relating to Entity X, A would not have control over X.

Protective rights Rights must be substantive and not merely protective. Substantive rights, as explained, relate to rights to make decisions on the most significant activity (or activities) that affect an entity's returns. Protective rights on the other hand are decision-making rights on fundamental changes to an investee's activities and are often relating to exceptional events. An example of a protective right was given earlier when we discussed the rights of a franchisor.

Another example is the right of a lender to restrict the payment of dividends by the borrower when lending covenants are breached.

Unilateral ability An investor has ability if it is able to exercise its power on another entity without restrictions from other parties. The investor must have unilateral ability to direct the most significant activities that impact returns. Often, the decisions are made through a Board of Directors or management body. If an investor is able to effectively appoint, remove and remunerate members on the Board, it would have control over the entity that the Board governs.

Control is therefore different from joint control, which requires the sharing of control. Under IFRS 11 *Joint Arrangements*, joint control through a contract requires unanimous consent from parties to a joint arrangement on decisions involving the most relevant activities of that joint arrangement.

Currently exercisable The ability to use the power to affect returns must be currently exercisable. In the situations with potential ordinary shares, the rights must be exercisable in a timely manner to enable the holder to direct relevant activities to make returns. When one or more investors have rights over different activities, it is necessary to consider the activities that are most significant in impacting returns at the current point in time.

ILLUSTRATION 2.3 Decision making rights over different activities

Investor A and Investor B own 50% interest each in Entity X. Through contractual agreement, Investor A has power to make decisions on strategic policies relating to research and development while Investor B has power to make decisions on strategic policies relating to marketing.

This arrangement is not a joint arrangement as there is no requirement for unanimous consent on decisions relating to the most relevant activity of Entity X. It is necessary to determine the most relevant activity of Entity X. The following scenarios arise.

Scenario A: A has control if research and development is the most relevant activity of X.

Scenario B: B has control if marketing is the most relevant activity of X.

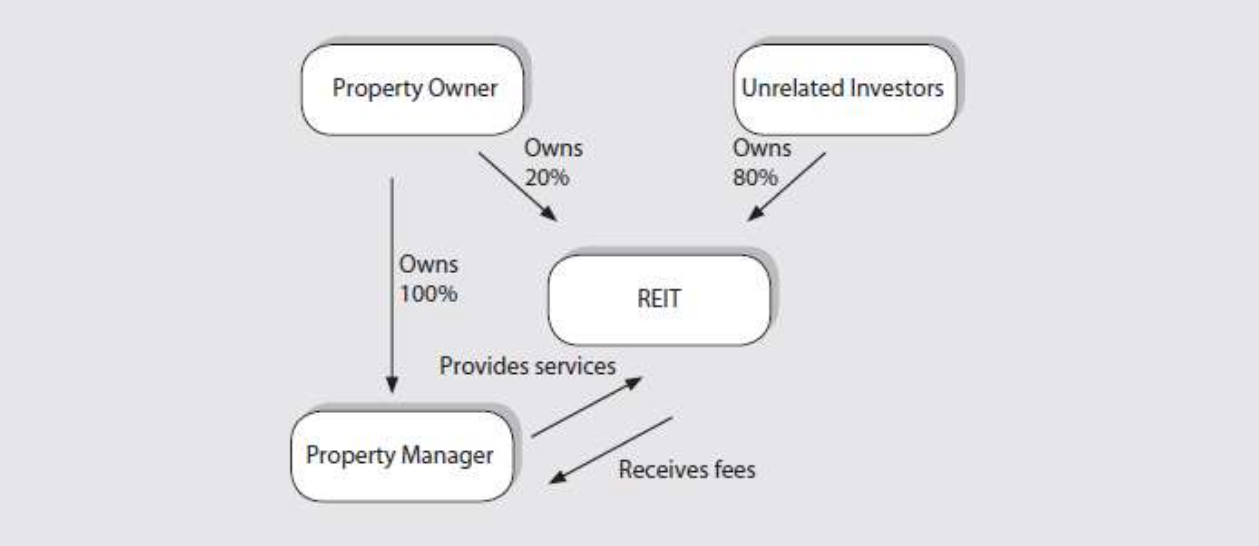
Scenario C: Neither A nor B has control if both activities are equally important. This is also not a situation of joint control as unanimous consent is not required from both investors on the most relevant activity. This situation is likely to lead to significant influence for each investor under IAS 28 *Investments in Associates and Joint Ventures*. Significant influence is discussed in greater detail in a subsequent section of this chapter.

Delegated Power In some situations, the "decision maker" (the party who is able to direct the most relevant activity that affects returns) acts on delegated power and is an agent. An agent is "a party primarily engaged to act on behalf and for the benefit of another party or parties (the principal(s)), and therefore, not control the investee when it exercises its decision-making authority."[17]

To control an investee, the decision maker must act for own interests and must be a principal and not an agent for other investors. In some situations, it may not be clear whether the decision maker is an agent or principal. This situation arises when the decision maker is also an investor. Consider the situation of a Real Estate Investment Trust (REIT), depicted in Figure 2.6. A property owner sets up a REIT and transfers property assets to the REIT. The property owner invests partially in the REIT (say 20% of the initial issued units). The remaining 80% units are issued to unrelated investors. Under a management agreement between the property owner and the REIT, a wholly owned subsidiary of the property owner manages the transferred property.[18] The management fees are variable and pegged to

3% of profits in line with industry practices. Hence, the property owner is both an investor and a manager and is exposed to returns from dividends and management fees. Does the property owner have control of the REIT?

FIGURE 2.6 Principal or Agent?



IFRS 10[19] provides factors to evaluate whether the decision maker is acting as an agent (for the interests of others) or acting as a principal (for own interests).

(a) *The scope of the decision-making authority*. We consider if the decision maker was significantly involved in the design of the investee. For example, in the REIT situation, the property owner is wholly involved in the set-up of the REIT and in determining the terms of the management contract. This involvement suggests that the property owner has the power and ability to determine an arrangement that would give it control. For example, the property owner may set up attractive remuneration terms for the property manager; or the property owner may make it more difficult for the property manager to be removed by other investors.

(b) *Rights held by other parties*. We consider the substantive rights held by other investors to remove and replace the decision maker. The subsidiary acting as the property manager of the REIT is also a "decision maker." Here, we consider the relative power of the investor who controls the decision maker and the other investors. Relative power of the other investors increases when it is easier for the other investors to remove the decision maker. It is easier to remove the decision maker when other investors are able to vote out the decision maker without cause. The relative power of other investors also increase when the likelihood and ability of other investors acting together to oust the decision maker is higher. For example, in the above illustration, if a 75% vote is required to remove the property manager, it may be difficult to remove the manager if 80% of votes held by other investors are distributed among many investors. The greater the number of investors, the more difficult it is for the other investors to act in concert to outvote the property owner who controls the property manager.

(c) *Remuneration*. A decision maker is more likely to be an agent if the remuneration (e.g. management fees) is commensurate with the services provided (e.g. management services) and the terms, conditions, or amounts are in line with those customarily provided for in a similar contract negotiated on an arms-length basis. In the example above, the fees of 3% are commensurate with property management fees charged by other property management companies on an arms-length basis.

(d) *Exposure to variability in returns from other interests*. In addition to remuneration for management services, a decision maker may have exposure to variable returns of an entity from ownership interests, guarantees provided and other arrangements. The greater the magnitude and variability of its aggregate returns, the more

likely it is that the decision maker is a principal. In comparing variability, the decision maker considers its exposure relative to total variability of returns of the investee. In our example above, exposure to variability in returns arises from the investment holding of 20% and the variable management fees of 3%. Even though the management fees reflect arms-length pricing for property management, they have to be included in determining the magnitude and variability of aggregate returns of the decision maker. The total exposure of 23% may not be considered sufficiently high to lead to control of the REIT.

Exposure and Rights to Variability of Returns from Involvement with an Investee

An investor has to consider total variable returns[20] that it is exposed to or have a right to as a result of its involvement with an investee. Variable returns, by definition are not fixed and may be only positive, only negative, or may be both positive and negative. Only positive returns may arise when an investor holds an option on another entity. Only negative returns may arise when an investor writes an option on another entity. In more typical cases, the investor is exposed to both positive and negative returns in the course of holding the investment (for example, when the investor has interests in issued ordinary shares). Returns do not simply include dividends or other profit distributions, which arise from passive holding. Returns also include changes in fair value, remuneration for servicing an investee's assets or liabilities, and typically returns that do not flow to other investors such as synergies and operational advantages to the investor.

Continuous Assessment of Control

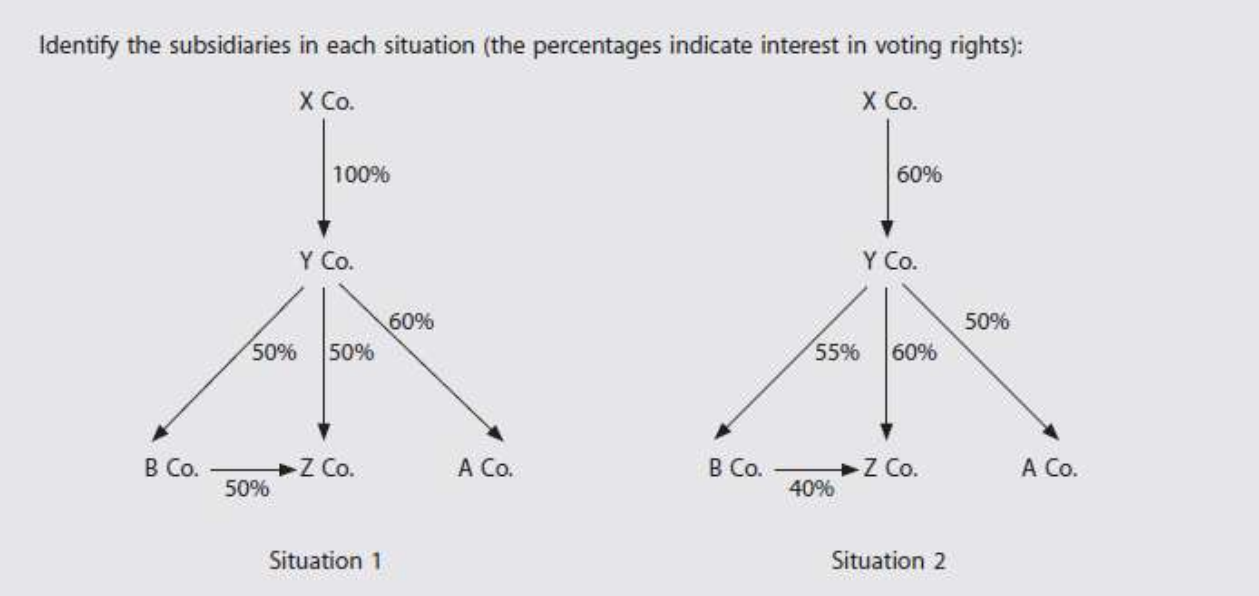
IFRS 10[21] requires an investor to re-assess control when facts and circumstances change with respect to the three elements of control (i.e. Power, Ability and Returns). Hence, IFRS 10 is not only holistic in its consideration of attributes of control but it is also dynamic. Power may be lost through subsequent events, for example, divestment of shares. However, power may also be gained or lost through events that do not involve the investor. For example, an investor may lose power when a management contract that gave the investor power has lapsed.

Direct and Indirect Control

An entity may invest directly in the shares of another entity or indirectly in the shares of other entities through intermediaries. For the test of control, IFRS 10 requires consideration of control from rights held directly or indirectly through subsidiaries. Hence, in a multi-level structure, control must be demonstrated at each intermediate level before the ultimate holding company is said to have control over the lowest-level company. If an entity is able to control the intermediary, the first entity is deemed to have control over all entities over which the intermediary has control. If the indirect holdings are through two or more intermediaries, the voting rights through each intermediary can be added together only if the ultimate investor controls the intermediaries. If there is a break in the line of control, the ultimate investor is not able to control the percentage of voting rights that the intermediary has in the lower-tier investee.

In Figure 2.7, assume X has control over Y if X's voting rights exceed 50%. Consider Situation 1, where X has control over Y (100% ownership) and A (X has indirect ownership of 60% in A through Y) but no control over B or Z. Although the indirect ownership that X has in Z is 75% (it has an indirect ownership of 25% through B and 50% through Y), X does not have any control over Z because there is a break in the control chain at B. Because X (through Y) does not control B, X also does not control the ownership interest that B has in Z. Hence, in this situation, the two percentages from the two linkages are not additive to determine control.

FIGURE 2.7 Affiliation structures



In Situation 2, X does not have control over A because the intermediate entity Y has only 50% interest in A. In this situation, A is an associate of Y and X (the concept of an associate is discussed in the next section). However, X has control over Y, B, and Z. The control over Y is clear since X has 60% interest in Y. Furthermore, X has indirect control of B through Y. Since X has indirect control of B, it also has indirect control of the 40% that B has in Z. Since X controls Y, it also controls the 60% that Y has in Z (even though the indirect interest in Z is only 36%). Thus, through the controlled intermediaries, X has control of 100% ownership interest of Z even though, arithmetically, the indirect ownership that X has in Z is only 49.2%. (While the effective percentage is not used for purposes of determining control, it is important for purposes of determining the majority and non-controlling share of profit.)

Assessing Control versus Allocation of Profit

In the previous section, we noted that IFRS 10 requires an investor to consider all facts and circumstances to determine if control exists. If control is deemed to exist, profit has to be allocated between controlling and non-controlling interests.

Impact of Potential Voting Rights on the Allocation of Profit

Potential voting rights that are currently exercisable or convertible are considered in determining control. However, they are excluded in the determination of allocation of profit between parent and non-controlling interests. IFRS 10 paragraph B89 states that the proportion of profit or loss and changes in equity allocated to the parent and non-controlling interests is determined on the basis of present ownership interests and does not reflect the possible exercise or conversion of potential voting rights. However, if the potential voting rights, in substance, give the holder access at present to the returns associated with an ownership interest, those rights should be considered (IFRS 10:B90).

Generally, the holding of an option, warrant, debt, or equity instrument that is potentially exercisable or convertible into ordinary shares does not give the holder a present right to the economic benefits arising from actual ownership of shares. For example, an option holder does not have residual risks in the net assets of a company or a right to dividends. However, if a special arrangement arises that such a right accrues to the holder of a derivative, the proportion of profit allocated to the parent and non-controlling interests should take into account such holdings.

ILLUSTRATION 2.4 Potential voting rights

Company A owns ten million ordinary shares and five million share warrants in Company B. Each share warrant is exchangeable for two ordinary shares. The share warrants are exercisable currently. The total number of issued ordinary shares is 20 million and the total number of shares potentially exchangeable from outstanding issued share warrants is 12 million. Although Company A owns only 50% of the total issued ordinary shares, its holding of the share warrants gives it *de facto* control over Company B, all things being equal. If Company A wishes, it can exercise its share warrants immediately and assume 62.5% ownership over Company B.

	Issued ordinary shares	Percentage of ordinary shares	Issued share warrants	Potential shares from warrants	Total shares (issued and potential)	Percentage of total shares
Company A.	10,000,000	50%	5,000,000	10,000,000	20,000,000	62.50%
Other investors . .	10,000,000	50%	1,000,000	2,000,000	12,000,000	37.50%
Total	20,000,000	100%	6,000,000	12,000,000	32,000,000	100.00%

Other examples where potential voting rights may determine control:

1. Share options that are currently exercisable are sources of potential voting rights, even if they are currently "out of the money," that is, when the exercise price exceeds the current market price. The fact that the share options are "out of the money" does not render them not currently exercisable. However, the "out of the money" condition must be evaluated further to determine if the potential rights are substantive.
2. When one investor has the right to increase its voting power or reduce other investors' voting power — and the investor can benefit from exercising the rights — the source of such rights should be considered as potential voting rights. For example, when an investor has an option to buy shares from other investors and this option is marginally out of money, such rights must be considered in determining the existence of control.

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THE CONCEPT OF SIGNIFICANT INFLUENCE

The presence of control determines the existence of a parent-subsidiary relationship between two entities. We now consider a different type of relationship that is determined by "significant influence." In this relationship, the investor does not have control over the investee but has power to participate in the financial and operating policy decisions of the investee. The investor may participate in the policy-making processes of an investee (for example, through representation on the board of directors of the investee), although the investor may not have the power to govern the final outcome of the decision-making process. In this situation, the investor has more power than that of a passive investor (who has only voting rights at shareholders' meetings), but less power than that of a parent. IAS 28 *Investments in Associates and Joint Ventures* (hereinafter referred to as IAS 28)[22] describes such an investor as having "significant influence," and the investee is deemed an "associate" of the investor. Special accounting procedures described as the "equity method" are applied to determine the carrying amount of the investment in the investor's consolidated financial statements.

What Is Significant Influence?

Significant influence is the power to participate in the financial and operating policy decisions of the investee but is less than control and is not equivalent to joint control over those policies (IAS 28:3). Contrast this with control, which is the power that gives rise to the current ability to direct relevant activities. Joint control is the contractually agreed sharing of control over an arrangement and requires the unanimous consent of the parties sharing control over the strategic decisions relating to the relevant activities (IFRS 11).[23]

As with the definition of "control," "significant influence" is not defined in a deterministic manner but requires all evidence to be considered. The presumption is that an investor has significant influence over an investee, if the investor holds directly or indirectly (e.g. through subsidiaries), 20% or more of the voting power of the investee. However, this presumption need not hold if the investor can demonstrate clearly that the voting power does not give rise to significant influence for the investor. Conversely, an investor who holds directly or indirectly less than 20% of voting power in an investee is presumed not to have significant influence, unless the investor can clearly demonstrate evidence to the contrary. Hence, *prima facie*, significant influence is deemed to exist when an investor has ownership of 20% or more of the voting power and equal to or less than 50% of the voting power in an investee (ownership above the 50% threshold constitutes control). As with determination of control, "potential voting rights" page 50 should also be considered when determining the existence of significant influence.

We describe this as the default presumption for ease of reference. However, these numbers are by no means cast in stone. Whether an ownership interest is sufficient to lead to a position to exercise significant influence is quite subjective at times. There may be other evidence of significant influence such as the number of directors representing the investor on the investee's board, participation in policy-making processes and operational interdependencies between the investor and the associate (IAS 28:6). Thus, it is possible for an investee to be classified as an associate even if the investor holds slightly less than 20% ownership but is able to exercise influence at the board level. On the other hand, it is also possible that ownership even in excess of 20% may not lead to any significant influence. As with consolidation, an investor must disclose in the financial statements the reasons for not complying with the default assumption (IFRS 12 paragraphs 9(d) and 9(e)).

Hence, the quantitative thresholds may be overridden if evidence to the contrary exists to indicate that significant influence does or does not exist. The degree of ownership generally dictates the extent of influence over policy decision-making in the investee company.

What Is An Associate?

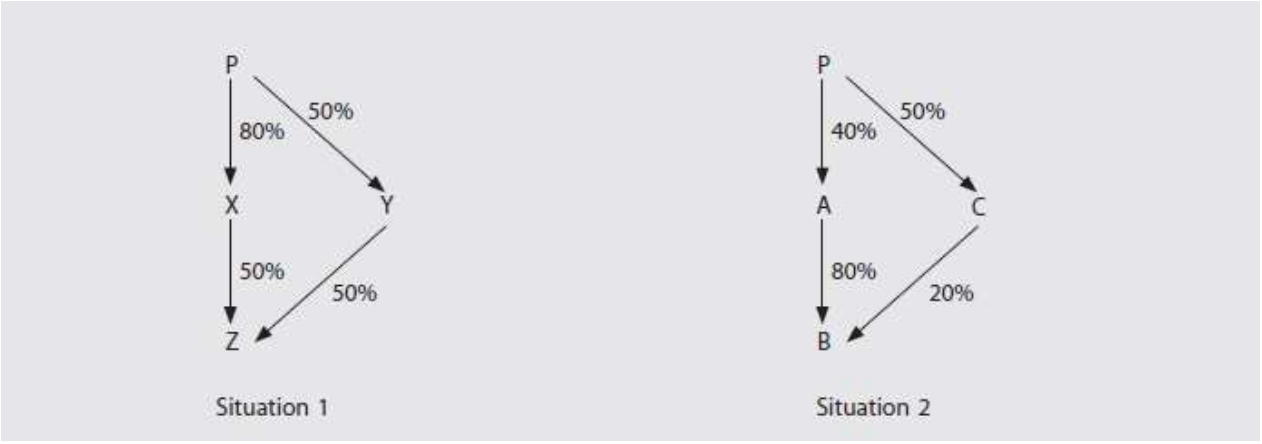
An associate is an entity in which the investor has **significant influence** and which is neither a subsidiary nor a joint arrangement of the investor (IAS 28:3). If the investee is an associate, the investor is not referred to as the "parent." As defined in IFRS 10, the term "parent" applies only to relationships where the investor has control over the investee.

Direct and Indirect Significant Influence

A previous version of IAS 28 states clearly that indirect holdings must be held through subsidiaries for the default assumption to hold. However, the current version of IAS 28 implies that subsidiary holding is an example (but not the only situation) whereby an ultimate investor may have significant influence indirectly over other entities. Hence, other evidence of significant influence must be taken into account when determining if an investee at the lower tier of the hierarchy is an indirect associate of an investor.

Consider the following multi-level arrangements (percentages indicating the voting rights held by the higher-level company) shown in Figure 2.8.

FIGURE 2.8 Multi-level structures



Using the percentage criterion of ≥ 20% and ≤ 50% of the investee's voting rights as evidence of significant influence, P, in Situation 1, has significant influence directly over Y (50% direct interest in Y) and significant influence indirectly over Z. Although the indirect interest that P has in Z is 65% (40% through X and another 25% through Y), P has no control over Y, and hence does not have control over Z. In this scenario, Z is an associate and not a subsidiary of P.

In Situation 2, P has significant influence directly over A (40% voting rights) and C (50% voting rights). P has an indirect interest in 42% of B (32% through A and 10% through C). However, P has no control over A or C; whether P has significant influence over B must take into account all other evidence to determine whether P is able to effectively influence B through A and C. The current version of IAS 28 does not imply that indirect holdings of associates must be held through a subsidiary. Hence, P must demonstrate that its significant influence over B is not diminished by the fact that P has only significant influence and not control over the intermediate investors, A and C.

ACCOUNTING FOR BUSINESS COMBINATIONS

After determining if a parent-subsidiary relationship exists with respect to the "control" test of IFRS 10, one can proceed to consolidate the financial statements of the subsidiaries together with the parent. Consolidation is a line-by-line combination of the financial statement items of a parent and its subsidiaries. The accounting standards that are relevant to the preparation and presentation of consolidated financial statements are:

1. IFRS 3 *Business Combinations;* and
2. IFRS 10 *Consolidated Financial Statements.*

Overview of the Scope of IFRS 3

International Financial Reporting Standard (IFRS) 3 *Business Combinations* (hereinafter referred to as IFRS 3)[24] supersedes IAS 22 *Business Combinations*.[25] The objective of IFRS 3 is to specify the requirements governing the method of accounting, disclosure, and presentation of the financial statements of a reporting entity comprising one or more separate entities that are brought together in a business combination. IFRS 3 deals with business combinations generally, of which a parent-subsidiary relationship is an example. IFRS 10 *Consolidated Financial Statements* applies specifically to the preparation and presentation of consolidated financial statements for parent-subsidiary combinations.

A business combination is the bringing together of one or more combining entities into a reporting entity (IFRS 3). Business combinations for example, result from one entity:

1. Purchasing the equity of another entity;
2. Purchasing the net assets of another entity;
3. Transferring its net assets, together with the net assets of other combining entities to a newly formed entity; or page 52
4. Purchasing some of the net assets of another entity that together form one or more businesses.

Purchase of Net Assets versus Purchase of Equity

Conceptually, a "group," which comprises a parent and its subsidiaries, is a type of "business combination." A group is a business combination in which the acquirer is a "parent" and the acquiree is a "subsidiary," and the business combination results from the parent acquiring a controlling interest in the equity (not net assets) of the subsidiary. In this business combination, both parent and subsidiary retain their status as separate legal entities. However, from an economic perspective, they are a single reporting entity. Two sets of financial statements must be prepared — separate financial statements for the legal entity and consolidated financial statements for the group.

Contrast this with a business combination whereby an acquirer buys over the net assets of another entity. A business combination such as this, which is brought about by the purchase of net assets (not equity) of the other entity, does *not* result in a parent-subsidiary relationship. In this case, the net assets of the other entity were assessed to have met the definition of business[26] under IFRS 3. In this business combination, the legal and economic entity are one. The separate financial statements of the acquirer provide information about the enlarged entity. In such a business combination, a set of consolidated financial statements is not required. In the event that the net assets do not constitute a business under IFRS 3, the transaction will not qualify as a business combination and this transaction is an acquisition of assets or a group of assets. Accordingly, the acquisition method of accounting under IFRS 3 does not apply. In this situation, there is only one set of financial statements, that is, the standalone financial statements of the purchaser of the assets. The assets acquired are subsumed within the standalone financial statements of the purchaser. The focus of this chapter is on the business combination that results in a parent-subsidiary relationship.

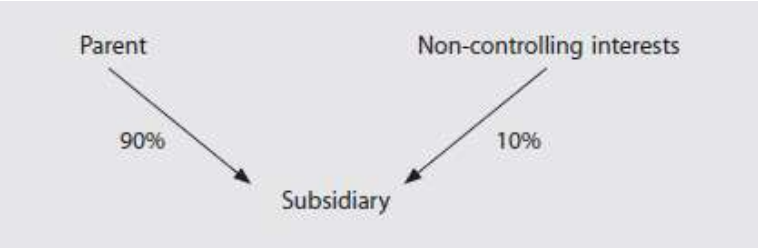
IFRS 3 presumes that there is a dominant party in a business combination, which may be identified as an "acquirer." Hence, IFRS 3 does not apply to business combinations that (1) bring together separate entities to form a joint arrangement, or (2) involve entities under common control. Accounting for entities under common control is explained in greater detail in a later chapter.

CONSOLIDATION THEORIES

Theories of consolidation are critical when the percentage of ownership in a subsidiary by a parent is less than 100%. Such a subsidiary is described as a "partially-owned subsidiary," where the remaining percentage not owned by the parent company is owned by shareholders, who are collectively referred to as "non-controlling interests." The identities of these other shareholders are not important as they do not have any controlling interest in the subsidiary. They are also referred to as "outside interests" of subsidiary companies, suggesting that they are not within the "group" comprising a parent and its subsidiaries.

For example, in Figure 2.9, a parent owns 90% in a subsidiary while other shareholders (collectively known as non-controlling interests) own 10% of the shares of the subsidiary.

FIGURE 2.9 Non-controlling interests in a partially owned subsidiary



The economic reality is that both the parent and the non-controlling interests have a proportionate share of the subsidiary's:

1. Net profit;
2. Dividend distribution;
3. Share capital; and
4. Retained profits and other changes in equity.

Non-controlling interests in a partially owned subsidiary arise when:

1. A parent company sells part of its stake in a subsidiary to external shareholders. These sales are often termed "equity carve-outs";[27]
2. A parent company buys a majority stake in a subsidiary from existing owners who eventually become non-controlling shareholders of the subsidiary;
3. A parent company and non-controlling shareholders are the founding shareholders of a newly incorporated entity.

In contrast, a subsidiary whose shares are owned completely by its parent company is termed a "wholly owned subsidiary." To understand the impact of consolidation theories on the practice of consolidation, consider the two situations below.

Figure 2.10 shows the ownership structure of a wholly owned subsidiary. The combined entity comprising the parent company and its subsidiary is wholly owned by the parent company's shareholders.

FIGURE 2.10 Ownership of the combined entity involving a wholly owned subsidiary

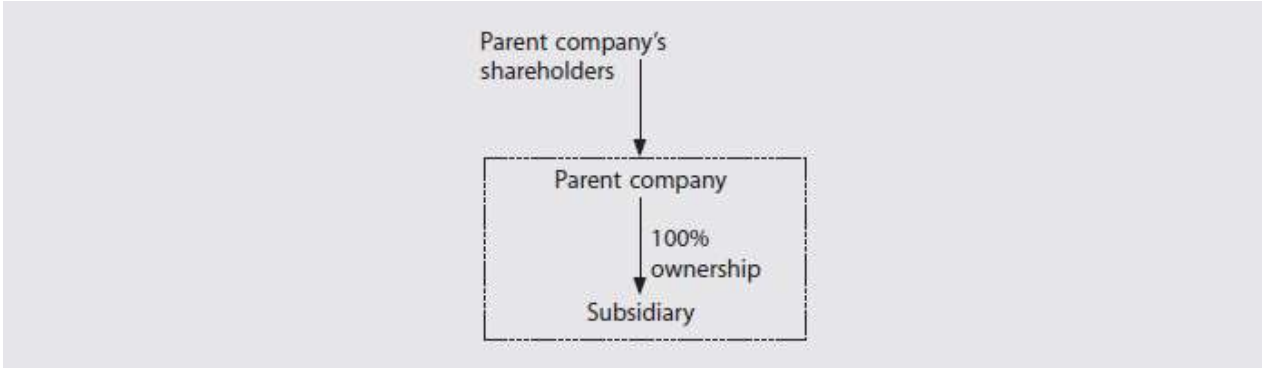
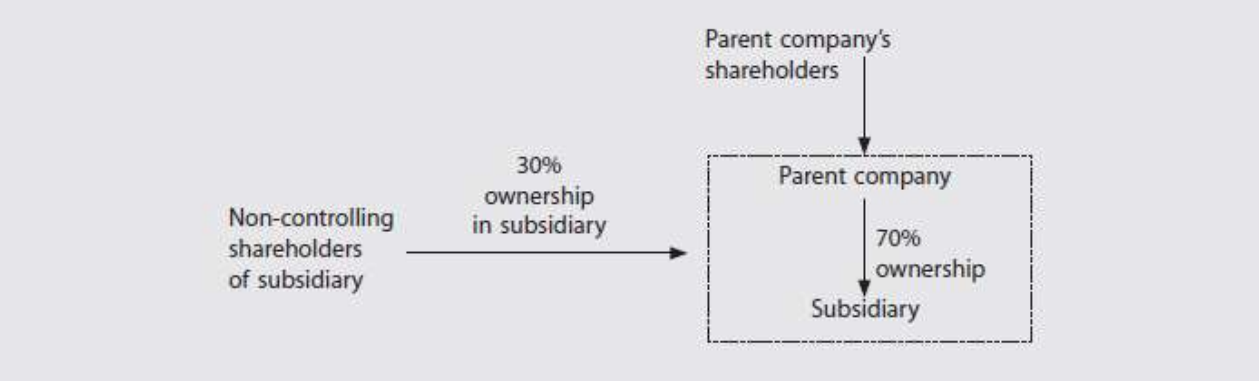


Figure 2.11 shows the ownership structure involving a partially owned subsidiary. In this example, the parent company owns 70% of the subsidiary and the remaining 30% are owned by non-controlling shareholders.

FIGURE 2.11 Ownership of the combined entity involving a partially owned subsidiary



From Figure 2.11, we can see two groups of shareholders of the combining entity emerge:

1. The parent company's shareholders; and
2. The non-controlling shareholders of the subsidiary.

The parent company's shareholders own the parent company and indirectly own 70% of the ownership interest of the subsidiary. Non-controlling shareholders directly own 30% of the subsidiary.

When the consolidated financial statements are prepared, which combine the financial statements of the parent company and its subsidiary, the following issues arise:

1. Who are the primary users of the consolidated financial statements? Are the consolidated financial statements prepared primarily for the parent company shareholders or for all shareholders of the combining entities?
2. How should non-controlling interests be reported in the consolidated statement of financial position? Should they be reported as equity, debt, or an unspecified mezzanine category (neither equity nor debt) in the statement of financial position?
3. When a subsidiary is acquired by a parent company, an exchange transaction is deemed to have occurred, justifying the use of fair values to measure the assets of the subsidiary at the date of acquisition. Should net assets of the subsidiary acquired be shown at full fair values or at the parent's share of the fair values? In other words, should the non-controlling interests also have a share of the fair value increment recognized at the date of acquisition?
4. Do non-controlling shareholders have a share of goodwill?
5. How should the net profit of a partially owned subsidiary be reported in the consolidated income statement? Should the total profit of the subsidiary be reported to show the profit that is retained by both controlling and non-controlling shareholders? Or should a deduction be shown for non-controlling interests' share of the current profit, leaving the balance that is retained by only the majority shareholders?

Standard setters have had to deal with the above issues for as long as consolidated financial statements existed. How each question is answered reflects one of two underlying theories in consolidation: the economic unit (entity) theory and the parent theory.[28] A discussion on the different theories goes back some 70 years when Maurice Moonitz issued his monograph on the entity theory of consolidated financial reporting.[29] Under the entity theory, the primary reporting objective is to present the financial performance and financial position of the combined entity from the perspective of both the parent company shareholders and the non-controlling shareholders of subsidiaries. Hence, the combined entity is seen as one economic unit (thus, the term "entity" or "economic unit" theory), which is owned by the two groups of shareholders. Contrast this with the parent theory, where the reporting

objective of consolidated financial statements is to provide information primarily for the shareholders of the parent company. Under the parent theory, the information needs of non-controlling interests are deemed as secondary, and non-controlling interests are not regarded as equity holders of the combined entity.

Entity (Economic Unit) Theory

Under the entity theory, non-controlling interests are deemed to be as important a stakeholder of the combined entity as are the majority shareholders. The distinction between the parent and the non- controlling interests is unimportant — both are included in equity. Hence, the entity theory requires a consistent accounting treatment for both parent and non-controlling interests. This perspective is reflected in the following statement in the FASB Discussion Memorandum (1991, p. 24):[30]

> Both the controlling and the non-controlling interests are part of the proprietary group of the consolidated entity, even though the non-controlling stockholders' ownership interests relate only to the affiliates whose shares they own.

Under the entity theory, the responses to the questions on the previous page are as follows:

1. The consolidated financial statements should be prepared and presented for the benefit of both groups of equity holders.
2. Non-controlling interests are shown as equity in the statement of financial position. The accounting equation will be as follows:

$$\begin{matrix}\text{Consolidated equity} \\ \text{(Controlling and non-controlling interests)}\end{matrix} = \begin{matrix}\text{Consolidated} \\ \text{assets}\end{matrix} - \begin{matrix}\text{Consolidated} \\ \text{liabilities}\end{matrix}$$

3. The fair values of assets and liabilities of subsidiaries at the date of acquisition should be reported in full to reflect the stakes of both parent company and non-controlling shareholders in the net assets of the subsidiaries. A consistent accounting treatment is applied to both parent's and non-controlling shareholders' interests in the net assets of a subsidiary. Hence, if the assets and liabilities of an acquired subsidiary are shown at fair values at the date of acquisition, non-controlling interests are also deemed to have a share of the fair value increment arising from the revaluation of net assets to fair value.
4. Goodwill is an asset of the economic unit, and should be reflected in full. Hence, internally generated goodwill that is not evidenced by an exchange transaction is recognized in full as at the date of acquisition.
5. Net profit of the subsidiary should be reported in full as accruing to both majority and non-controlling shareholders. Non-controlling interests' share of current profit is not shown as a deduction of profit.

Parent Theory

The parent theory focuses on the information needs of the parent company shareholders. Features of the parent theory are as follows:

1. The consolidated financial statements are prepared and presented primarily for the benefit of the parent company shareholders. The informational needs of the non-controlling interests are better served by the separate financial statements of the subsidiary than the consolidated financial statements.
2. Claims by non-controlling interests in the net assets of a subsidiary are shown as a separate component in the statement of financial position. They are presented in a category that is neither debt nor equity in the consolidated statement of financial position. The accounting equation in the consolidated statement of financial position is presented as follows:

$$\begin{matrix}\text{Consolidated equity} \\ + \\ \text{Non-controlling interests}\end{matrix} = \begin{matrix}\text{Consolidated} \\ \text{assets}\end{matrix} - \begin{matrix}\text{Consolidated} \\ \text{liabilities}\end{matrix}$$

3. Since the focus is on the parent's perspective, only the parent's share of the fair values of the assets and liabilities of subsidiaries at the date of acquisition should be reported. There is no "acquisition" of the subsidiary by the non-controlling interests. Hence, the non-controlling interests in the assets and liabilities of a subsidiary at the date of acquisition are shown at book (not fair) value.
4. Goodwill is an asset of the parent (not the economic unit) and should be restricted to the parent's share. Hence, the internally generated goodwill of a subsidiary that belongs to the non-controlling shareholders of a subsidiary is not recognized.
5. Non-controlling interests' share of current profit is shown as a deduction from profit to show the final profit that is attributable to parent company shareholders.

The differences between the two theories are summarized in Table 2.1.

TABLE 2.1 Summary of differences between the parent theory and the entity theory

Attributes	Parent theory	Entity theory
Fair value differences in relation to identifiable assets and liabilities at date of acquisition	Recognized only in respect of parent's share	Recognized in full, reflecting both parent's and non-controlling interests' share of fair value adjustments
Presentation of non-controlling interests	Neither equity nor debt	As part of equity
Goodwill	Goodwill is parent's asset	Goodwill is an entity asset and should be recognized in full as at date of acquisition

Proprietary Theory

The proprietary theory is more remote with respect to consolidation practices. However, the theory is relevant to accounting for joint ventures, which are characterized by an arrangement of joint control between two venturers. Under the proprietary theory, the parent is seen as having a direct interest in a subsidiary's assets and liabilities. This perspective results in *pro-rata* or *proportional consolidation*, whereby the parent's interest is directly multiplied by each individual asset or liability of the subsidiary and combined with the parent's assets and liabilities.

The Implicit Consolidation Theory Underlying IFRS 3

Developments in accounting standards underscore an evolutionary shift toward the entity theory. IFRS 3 (2008) permits the recognition of non-controlling interests' share of goodwill. For each business combination, an acquirer may choose to recognize, or not recognize, non-controlling interests' share of goodwill. IFRS 3 (2004) falls short of recognizing the non-controlling interests' share of goodwill on the consolidated statement of financial position, although it recognizes fair value adjustments of identifiable assets in full, for both majority and non-controlling interests in subsidiaries. The previous standard that governs accounting business combinations, IAS 22, was a mixture of both the parent and entity theories. IAS 22 allowed an acquirer to either recognize or ignore non-controlling interests' share of fair value adjustments of a subsidiary's identifiable assets and liabilities. Further, the companion standard, IFRS 10 *Consolidated Financial Statements* requires non-controlling interests to be presented in equity separately from the equity of the owners of the parent. The requirement to show non-controlling interests as equity is consistent with the entity theory. However, the separation of non-controlling interests from the equity of the owners of the parent reflects a perspective that is more consonant with the parent theory.

Nonetheless, the movement toward applying the full entity theory is clearly underway. As a result of the convergence movement, IFRS 3 (2008), applicable to periods beginning 1 July 2009, permits the inclusion of the non-

controlling interests' share of goodwill as at the date of acquisition. The Financial Accounting Standards Board (FASB) in the United States released the revised Statement of Financial Accounting Standard (SFAS) 141, now known as Codification Topic No. 805 *Business Combinations*, applicable for fiscal years beginning 15 December 2008, which requires the recognition of the non-controlling interests' share of goodwill. The changes are part of an ongoing effort to improve international comparability with proposed changes in the IAS® Standards. Goodwill attributable to non-controlling interests in a partially owned subsidiary would be recognized under SFAS 141.[31] The FASB did not permit a choice on the initial measurement of non-controlling interests. Non-controlling interests are to be measured at full fair value (i.e. including goodwill). Hence, full convergence is not fully achieved as the Board permits a choice for acquirers not to recognize non-controlling interests' share of goodwill at initial recognition.

Illustration 2.2 shows the differences in effects on the consolidated statements prepared under the parent and entity theories. Accounting for business combinations in accordance with IFRS 3 and the consolidation process in IFRS 10 are explained in subsequent chapters. Hence, this illustration is an introduction to the more intricate processes of consolidation.

In particular, the differential effects relating to the following are shown:

1. Measurement of the fair value of the net assets of the acquired subsidiary at the date of acquisition;
2. Determination of goodwill of the acquired subsidiary;
3. Determination of non-controlling interests (NCI) at the date of acquisition.

Review Illustration 2.5 to appreciate the conceptual flavor of the two theories and revisit this chapter after you have understood the technical process of consolidation. In Illustration 2.5, the financial statements are shown with a full entity theory interpretation.

In Illustration 2.5, the financial statements are shown with a full entity theory interpretation.

ILLUSTRATION 2.5 Parent versus entity theory

P Co purchased an 80% interest in S Co on 1 January 20x1 for $1,200,000. At the date of acquisition, S Co showed the following balances:

Share capital of S	$ 800,000
Retained earnings of S	400,000
Book value of equity	$1,200,000

Book value of property was undervalued by $100,000 as at 1 January 20x1. The fair value adjustment was not recognized by S at the date of acquisition. For simplicity, ignore the effects of tax and depreciation of the fair value adjustment. (In subsequent chapters, the effects of tax and depreciation and amortization of fair value adjustments are explained.) The fair value of non-controlling interests as at 1 January 20x1 was $300,000. The consolidated financial statements are shown below in abridged form.

Income Statement For the Year Ended 31 December 20x1						
			Consolidated financial statements			
				Entity theory		
(All figures are in $'000)	P Co	S Co	Parent theory	Parent's share	NCI's share	Total
Net profit after tax (Note 1)	$ 350	$ 70	$ 420	$ 406	$ 14	$ 420
Non-controlling interests (Note 1)			(14)			
Net profit after non-controlling interests			$ 406			
Retained earnings, 1 January	3,000	400	3,000	3,000	80	3,080
Retained earnings, 31 December	$3,350	$470	$ 3,406	$ 3,406	$ 94	$3,500

Statement of Financial Position As at 31 December 20x1						
			Consolidated financial statements			
				Entity theory		
(All figures are in $'000)	P Co	S Co	Parent theory	Parent's share	NCI's share	Total
Fixed assets (Note 2)	$3,000	$1,000	$4,080			$4,100
Investment in S Co	$1,200					
Inventory	500	200	700			700
Cash	500	150	650			650
Goodwill on consolidation (Note 2)			160			200
Liabilities	(450)	(80)	(530)			(530)
Net assets	$4,750	$1,270	$5,060			$5,120
Share capital	$1,400	$ 800	$1,400	$1,400	$160	$1,560
Retained earnings	3,350	470	3,406	3,406	94	3,500
Non-controlling interests share of fair value adjustments and goodwill (Note 3)					60	60
Equity (Note 3)	$4,750	$1,270	$4,806	$4,806	$314	$5,120
Non-controlling interests (Note 3)			254			
Equity and non-controlling interests	$4,750	$1,270	$5,060			$5,120

Explanatory notes (all figures are in $'000):

1. Net profit after tax and non-controlling interests.

Parent theory. Non-controlling interests' share of net profit after tax is computed as follows:

$$\begin{aligned} 20\% \times \text{S's net profit after tax} &= 20\% \times \$70 \\ &= \$14 \end{aligned}$$

Entity theory. Non-controlling interests are not shown as a deduction but are included in entity-wide net profit after tax. Disclosure is made of the amount of net profit after tax that relates to non-controlling interests.

$$\begin{aligned}\text{Parent's share of net profit after tax} &= (100\% \times \text{P's net profit after tax}) \\ &\quad + (80\% \times \text{S's net profit after tax}) \\ &= (100\% \times \$350) + (80\% \times \$70) \\ &= \$350 + \$56 \\ &= \$406\end{aligned}$$

2. Asset substitution: Elimination of investment in S and substitution with identifiable net assets of S and goodwill. Share capital and retained earnings of S at date of acquisition have to be eliminated against investment in S.

Parent theory. Goodwill is an asset of the parent; non-controlling interests have no share of goodwill.

$$\begin{aligned}\text{Goodwill} &= \text{Investment in S} - \text{P's ownership \%} \\ &\quad \times (\text{Fair value of S's identifiable net assets at date of acquisition}) \\ &= \$1{,}200 - (80\% \times \$1{,}300) \\ &= \$160\end{aligned}$$

Similarly, fair value adjustment of property is recognized only with respect to P's share.

Carrying amount of S's fixed assets	$1,000	
P's share of fair value increment of S's property at date of acquisition	80	(80% × $100)
Carrying amount of P's fixed assets	3,000	
Consolidated fixed assets	$4,080	

Entity theory. Goodwill is an asset of the entity; non-controlling interests have a share of the goodwill. Total goodwill of $200 comprises the following:

$$\begin{aligned}\text{Parent's share of goodwill} &= \$160 \\ \text{Non-controlling interests' share of goodwill} &= \text{Fair value of NCI} \\ &\quad - \text{Share of fair value of identifiable net assets} \\ &= \$300 - (20\% \times \$1{,}300) \\ &= \$300 - \$260 \\ &= \$40\end{aligned}$$

Similarly, fair value adjustment of property is recognized in total for the entity and non-controlling interests are credited with their share of the fair value adjustment.

Carrying amount of S's fixed assets	$1,000
Fair value increment for entity	100
Carrying amount P's fixed assets	3,000
Consolidated fixed assets	$4,100

3. Equity.

Parent theory. Non-controlling interests are shown separately from equity.

$$\begin{aligned}\text{Non-controlling interests} &= \text{Non-controlling interests \%} \times \text{Book value of S's equity} \\ &= 20\% \times \$1{,}270 \\ &= \$254\end{aligned}$$

Entity theory. Non-controlling interests are deemed to have an equity interest and are thus presented as a component in equity. As with the income statement, details of the non-controlling interests are shown as a component within equity. This presentation reflects a purist interpretation of the entity theory. However, as indicated earlier, IFRS 10 requires the non-controlling interests to be presented separately from the equity components of the owners of the parent. Hence, this pure form of presenting non-controlling interests as part of the combined equity component is not done in practice.

$$\begin{aligned}\text{Non-controlling interests} &= \text{Non-controlling interests \%} \\ &\quad \times (\text{Book value of S's equity} + \text{Fair value adjustment}) \\ &\quad + \text{NCI's share of goodwill} \\ &= 20\% \times (\$1{,}270 + \$100) + \$40 \\ &= \$314\end{aligned}$$

$$\begin{aligned}\text{NCI's share of fair value adjustment and goodwill} &= 20\% \times \$100 + \$40 \\ &= \$60\end{aligned}$$

CONCEPT QUESTIONS

CQ2.1 Parent-subsidiary relationship

Is there a parent-subsidiary relationship in each of the situations below? If the situation is ambiguous, identify the factors that will determine if a parent-subsidiary relationship exists.

(a) Company A signs an agreement with Company B to set up Company C in China. Both Company A and Company B will have 50% voting rights in Company C.

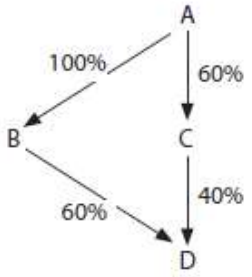
(b) Company A buys 100% of the net assets of Company B. The purchase price includes goodwill. Company B is subsequently dissolved.

(c) Company A arranges to have its shares acquired by Company B who issues new shares to the owners of Company A. The owners of Company A are also the executive directors of Company A. Company B gives three of five seats on the board of directors to the executive directors of Company A.

(d) Company B owes $20 million to Company A. As a result of financial difficulties, Company A agrees to accept shares issued by Company B as settlement of the liabilities. After the share issue, Company A owns 60% of Company B.

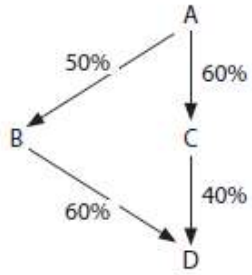
CQ2.2 Multi-level group structure

Using the voting rights criterion, identify the parent(s), subsidiaries and associates, if any. Arrows indicate share ownership of the top company in the lower company.



CQ2.3 Multi-level group structure

Identify the parent(s), subsidiaries and associates, if any, in the following structure:



CQ2.4 Parent-subsidiary relationship

An acquirer is called a "parent" when it acquires the net assets rather than the equity of another entity, called the "subsidiary." Is this true or false?

CQ2.5 Parent-subsidiary relationship

A "parent" and a "subsidiary" continue to exist as separate legal entities even though they are economically one reporting entity. Is this true or false?

CQ2.6 Parent-subsidiary relationship

Company A is given the contractual right by billionaire Jill Gates to govern, on her behalf, the daily affairs and long-term policies of Company X, a company whose shares Ms Gates owns. Is Company X a subsidiary of Company A?

CQ2.7 Parent-subsidiary relationship

Company A, which owns 40% of Company Y, has the power given by contractual agreement with other shareholders of Company Y to appoint or remove the majority of the members of the board of directors of

Company Y. Is Company Y a subsidiary of Company A?

CQ2.8 Potential voting rights

Company A owns 40 million ordinary shares issued by Company B. The total number of ordinary shares issued by Company B is 100 million. At the same time, Company A also holds $10,000,000 of convertible debt instruments issued by Company B. Each $1 of debt is convertible into four ordinary shares of Company B. The total outstanding convertible debt at year-end is $12,000,000. All things being equal, does Company A have control over Company B under the following mutually exclusive circumstances?

(a) Company A has a current right to convert the debt into shares, but chooses to hold the debt securities to maturity.

(b) Company A has a current right to convert the debt into shares and also a right to sell its convertible debt instruments to the other existing shareholders for cash at fair value.

(c) Company A has a current right to convert the debt into shares, but at the same time, it also has an obligation to sell its convertible debt instruments to a third party for cash at fair value.

CQ2.9 Article-based discussion

Download the following articles from your library's electronic database (e.g. ProQuest or ABI-Inform) and analyze them:

(a) Beckman, J.K., 1995. "The Economic Unit Approach to Consolidated Financial Statements: Support from the Financial Economics Literature", *Journal of Accounting Literature*, 14, pp. 1–23.

(b) Pacter, P., 1992. "Revising GAAP for Consolidations: Join the Debate", *The CPA Journal*, July, pp. 38–47.

Required:

1. Explain the three competing concepts of consolidation as referred to in the articles and their effects on reported information.
2. Explain how Beckman uses financial economics' research regarding corporate restructuring transactions to support a particular concept of consolidation.

CQ2.10 Principal-agent relationship

A fund manager manages an investment fund based on narrowly defined parameters in local regulations. The manager has 5% interests in fund, and is paid 1% of net asset value as remuneration. The manager has decision-making authority over the fund. Does the fund manager have control over the fund?

CQ2.11 Principal-agent relationship

A fund manager has 20% interests in the fund he manages. The manager's remuneration is 1% of net asset value. The manager has wide decision-making discretion. The investors can remove the manager by a simple majority vote, but only for breach of contract. Does the fund manager have control over the fund?

CQ2.12 Principal-agent relationship

A fund manager has 20% interests in the fund he manages. The manager's remuneration is 1% of net asset value. The manager has wide decision-making discretion. The investors appoint a board of directors for the fund. The

board decides annually if the manager is to be appointed. The services of the manager are easily replaced by other fund managers in the market. Does the fund manager have control over the fund?

CQ2.13 Principal-agent relationship

An investee is a vehicle that purchases fixed rate securities, funded by a mix of equity and debt instruments. The equity provides first loss protection to the debt investors. An asset manager has 30% interest in the equity. The remaining 70% equity and all debt are held by dispersed group of investors. The manager is remunerated at 1% of net asset value. The manager can be removed by the investors by simple majority vote, without cause. Does the fund manager have control over the fund?

CQ2.14

Provide two examples where IFRS 10 requires an investor to consolidate its entity while IAS 27 does not require consolidation.

CQ2.15

What are the key changes from IAS 27 to IFRS 10 in determining if consolidation of investee is required? What are the reasons that the Board makes these changes?

CQ2.16

How are risks and rewards considered in determining control under IFRS 10?

CQ2.17

Explain why power in itself is not a sufficient basis to determine control.

CQ2.18

Explain the nature of returns in determining control under IFRS 10.

EXERCISES

E2.1 Calculation of the effects of consolidation under the parent and entity theories

Phi acquired an 80% ownership interest in Alpha on 1 January 20x1 for $1,000,000. At the date of acquisition, Alpha showed the following balances under shareholders' equity:

Share capital	$500,000
Retained earnings	200,000
Shareholders' equity	$700,000

At the date of acquisition, excess of fair value of Alpha's inventory over book value was $100,000. The inventory was still unsold as at 31 December 20x1. The fair value of non-controlling interests as at 1 January 20x1 was $250,000. The separate financial statements for Phi and Alpha for the year ended 31 December 20x1 are shown below. Ignore tax effects.

Income Statement
For the Year Ended 31 December 20x1

			Consolidated financial statements			
				Entity theory		
(All figures are in $'000)	Phi	Alpha	Parent theory	Parent	NCI	Total
				80%	20%	100%
Net profit after tax	$ 800	$280				
Non-controlling interests						
Net profit after non-controlling interests						
Retained earnings, 1 January	1,300	200				
Retained earnings, 31 December	$2,100	$480				

Statement of Financial Position
As at 31 December 20x1

			Consolidated financial statements			
				Entity theory		
(All figures are in $'000)	Phi	Alpha	Parent theory	Parent	NCI	Total
Property and plant	$2,300	$1,200				
Inventory	300	200				
Cash	100	50				
Goodwill on consolidation						
Investment in Alpha	1,000					
Liabilities	(600)	(470)				
Net assets	$3,100	$ 980				
Share capital	$1,000	$ 500				
Retained earnings	2,100	480				
Non-controlling interests' share of fair value increment and goodwill						
Equity	$3,100	$ 980				
Non-controlling interests						
Equity and non-controlling interests	$3,100	$ 980				

Required:

Complete the consolidated financial statements for Phi and Alpha for the year ended 31 December 20x1 under the parent and entity theories of consolidation.

E2.2 Calculation of the effects of consolidation under the parent and the entity theories

P acquired a 60% interest in S when the share capital and retained earnings of S were $100,000 and $150,000, respectively. At the date of acquisition, the book values of the assets of S were approximately equal to their fair values. The fair value of non-controlling interests as at the date of acquisition was $160,000.

Statement of Financial Position						
				Combined entity theory		
	P	S	Combined parent theory	Parent	NCI	Total
Other assets	$350,000	$320,000	$670,000			$670,000
Goodwill			?			?
Investment in S	240,000		?			?
Liabilities	(40,000)	(34,000)	(74,000)			(74,000)
Net assets	$550,000	$286,000	?			?
Share capital	$300,000	$100,000	$300,000	?	?	?
Retained earnings	250,000	186,000	?	?	?	?
NCI's share of goodwill					?	?
Equity	$550,000	$286,000	?	?	?	?
Non-controlling interests			?			
Equity and non-controlling interests	$550,000	$286,000	?			?

Required:

Complete the cells with "?" in the consolidated financial statements of P and S.

CASES

C2.1 Special purpose entities

On 2 October 2002, the Securities and Exchange Commission (SEC) filed a civil enforcement action against Andrew S. Fastow, the former Chief Financial Officer of Enron Corp., for alleged fraud. The complaints were related to six transactions, which mainly involved arrangements with outside third parties. These joint investments with third parties were typically structured as separate, special purpose entities ("SPEs") to which Enron and other investors contributed assets.

SPEs are either consolidated entirely onto the investing company's statement of financial position or treated as an investment in a separate entity not under the investing company's control, with off-balance-sheet treatment of the SPE's assets and liabilities. Under applicable accounting rules in the United States, an SPE could receive off-balance-sheet treatment only if independent third-party investors contributed at least 3% of the SPE's capital. Details of three of the six transactions are reproduced from an SEC's release[32] as follows:

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(a) *RADR:* "In early 1997, Enron needed to divest itself of certain electricity-generating windmill farms to maintain certain financial benefits under applicable energy regulations. A sale to independent third-party investors would have entailed relinquishing control over these windmill farms, an eventuality Enron wanted to avoid. To maintain control of these assets, Fastow selected certain individuals to act as nominee investors in the entities (collectively referred to as 'RADR') that purchased the windmill farms. To provide the funds for the

purchase, Fastow made a secret personal loan to Kopper,[33] who in turn made loans to the nominee investors. Between August 1997 and July 2000, these entities generated approximately $2.7 million in unlawful profits. In July 2000, Enron repurchased the facilities from the entities, generating an additional gain of approximately $1.8 million. Between 1997 and 2000, Kopper made substantial payments to Fastow from these unlawful profits. One mechanism employed to funnel to Fastow money generated by this scheme was a 'gifting' program whereby Kopper and Kopper's domestic partner made annual 'gifts' of $10,000 to each member of Fastow's immediate family. Fastow chose the $10,000 amount to avoid IRS reporting rules."

(b) *Chewco:* "In 1997, Enron and the California Public Employees' Retirement System (CalPERS) were joint-venture partners in an off-balance-sheet investment vehicle called Joint Energy Development Limited Partnership (JEDI). When CalPERS wanted to cash out its investment in JEDI prior to investing in a larger Enron venture, Fastow and others at Enron formed a special purpose entity called Chewco to buy CalPERS' interest in JEDI thereby allowing Enron to continue accounting for JEDI as an off-balance-sheet entity. Initially, Fastow planned to serve as Chewco's general partner and as an equity investor, but was advised that his involvement would require disclosure by Enron. Fastow then selected Michael Kopper to fill the Chewco general partner role. Fastow secretly controlled Chewco and Kopper and, by virtue of that control, received a share of Chewco's profits as kickbacks from Kopper. In addition, Fastow siphoned funds from Enron by using his position as Enron's CFO to funnel funds to Chewco for his own benefit."

(c) *The Cuiaba Project:* "To avoid consolidation of debt related to a power-plant project in Cuiaba, Brazil, and to recognize earnings, Enron entered into a sham sale with LJM1.[34] Fastow arranged for LJM1 to buy an interest in the plant despite significant cost overruns, completion delays, and operational problems, after Enron failed to secure an independent buyer. However, in connection with this transaction, Fastow had entered into an unwritten side agreement with Enron (which Enron later honored) requiring Enron to buy back the interest it sold to LJM1 at a guaranteed profit regardless of the risks associated with the project."

Required:

For each of the three transactions, apply the tests of control and risks, and the rewards of ownership to explain if, and how, Enron had control over the assets or entities in question.

C2.2 Business Trusts

In its Annual Report for the year ended 31 December 2013, IHH Healthcare Berhad, a Malaysian listed company disclosed that it had adopted Malaysian Financial Reporting Standard (MFRS) 10, *Consolidated Financial Statements*. MFRS 10 is based on IFRS 10 *Consolidated Financial Statements*. Following the adoption of MFRS 10, IHH Healthcare Berhad consolidated Parkway Life Real Estate Investment Trust (PLife Trust) and equity accounted Khubchandani Hospitals Private Limited (Khubchandani). IHH Healthcare Berhad Limited had 35.8% and 50% interest in PLife Trust and Khubchandani respectively. PLife Trust was previously accounted for as an associate and Khubchandani was accounted for as an indirect subsidiary.

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The retrospective application of MFRS 10 resulted in IHH Healthcare Berhad presenting restated comparatives for 2012 in Note 45 of its 2013 Annual Report.

Go to the company's website http://www.ihhhealthcare.com and locate the 2013 Annual Report under investor relations.

Under Note 45, review the impact of the changes for comparative figures for year ended 31 December 2012.

Required:

1. In the case of a business trust or a real estate investment trust, why are voting rights in themselves not necessarily a conclusive basis to determine control?
2. Calculate the following ratios for IHH Healthcare Berhad before and after the change and explain how the accounting change affects each ratio:
   a. Net profit margin (Profit for the year/Revenue)

b. Return on total assets (Profit for the year/Total Assets)
c. Return on total equity (Profit for the year/Total Equity)
d. Leverage ratio (Total Liabilities/Total Equity)
e. Interest coverage ratio (Profit before interest and tax/Interest expense)

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[10] Whittred, G., 1987. "The Derived Demand for Consolidated Financial Reporting", *Journal of Accounting and Economics*, 9(3), pp. 259–285.

[11] Seth, A., 1990. "Sources of Value Creation in Acquisitions: An Empirical Investigation", *Strategic Management Journal*, 11(6), pp. 431–447.

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[15]IFRS 10 paragraph 7.

[16] IAS 33 *Earnings per share* defines potential ordinary shares as financial instruments or other contracts that give the holder the right to purchase ordinary shares.

[17] IFRS 10 Appendix B, paragraph B58.

[18] A REIT entails the presence of a trustee. The trustee who is appointed by the unitholders of the REIT is often also controlled by the property owner. The principles applied to the manager would also apply to the trustee. For simplicity, our illustration features only the manager.

[19] IFRS 10 Appendix B, paragraphs B60-B72.

[20] IFRS 10, Appendix B paragraphs B55-B57.

[21] IFRS 10, Appendix B paragraphs B80-B85.

[22] International Accounting Standards Board, 2014. *International Accounting Standard 28, Investments in Associates and Joint Ventures*, IFRS Foundation, London, United Kingdom.

[23] International Accounting Standards Board, 2014. *International Financial Reporting Standard 11: Joint Arrangements*, IFRS Foundation, London, United Kingdom.

[24] International Accounting Standards Board, 2008. *International Financial Reporting Standard 3: Business Combinations*, IASC Foundation, London, United Kingdom.

[25] International Accounting Standards Committee, 1998. *International Financial Reporting Standard 22: Business Combinations*, IASC Foundation, London, United Kingdom.

[26] Business is defined as an integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing goods or services to customers, generating investment income (such as dividends or interest) or generating other income from ordinary activities.

[27] Schipper, K. and A. Smith, 1986. "A Comparison of Equity Carve-outs and Seasoned Equity Offerings: Share Price Effects and Corporate Restructuring", *Journal of Financial Economics*, 15 January/February, pp. 153–186.

[28] Another theory, the proportionate consolidation theory, applies more to accounting for joint-ventures.

[29] Moonitz, M., 1951. *The Entity Theory of Consolidated Financial Statements*, American Accounting Association, The Foundation Press, Brooklyn.

[30] Financial Accounting Standards Board, 1991. *Discussion Memorandum: An Analysis of Issues Related to Consolidation Policy and Procedures*. FASB, Norwalk, CT.

[31] Financial Accounting Standards Board, 27 July 2004. *Summary of FASB Tentative Decisions on Business Combinations*. FASB, Norwalk, CT

[32] SEC Press Release, "SEC Charges Fastow, Former Enron CFO with Fraud", 2002–2143, 2 October 2002. Reproduced with permission.

[33] Michael J. Kopper was a former employee of Enron Corp; he was a defendant in another action by the SEC.

[34] LJM Cayman, Limited Partnership (LJM1) was an off-balance-sheet partnership controlled by Fastow. Around February 2000, Fastow and others caused Enron to buy out the partnership interests of LJM1's two limited partners.